

PUBLIC VERSION

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS

AMERICA, INC.,

COMPLAINANT,

v.

SM LINE CORPORATION,

RESPONDENT.

**SAMSUNG ELECTRONICS AMERICA, INC.'S REPLY BRIEF
TO SM LINE CORPORATION'S OPPOSITION BRIEF**

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I. INTRODUCTION

Samsung Electronics America, Inc. (“SEA” or “Complainant”), respectfully submits this reply brief in further support of SEA’s position that the evidence, when applied to the Shipping Act of 1984, 46 U.S.C. § 40101, *et seq.* (2019) (the “Shipping Act”), the Federal Maritime Commission’s (“FMC” or “Commission”) regulations, and case law clearly establishes that SM Line Corporation’s (“SM Line” or “Respondent”) practices and regulations in handling SEA cargo violated the Shipping Act. In support, SEA submits this reply brief and its separate response to Respondent’s Proposed Findings of Fact (“SEA RPFF”).

II. SUMMARY OF ARGUMENT

SM Line’s opposition brief (“SM Line Brief”) does not meaningfully address the substantial evidence of Shipping Act violations SEA proffered. SM Line’s opposition brief theory of summary dismissal primarily rests on the assertion that “SEA’s brief and PFFs do not include a single shipment that SEA can prove resulted in unreasonable charges being issued by SM Line to SEA.” SM Line Brief at 10. Based on this theoretical burden of proof failure, SM Line claims it should be excused from paying remunerations for the millions of dollars in demurrage and detention charges (“D&D”) SEA (i) paid SM Line directly on store door moves; and (ii) on D&D charges SEA paid to third parties, from April 19, 2020 to December 31, 2022 (the “Relevant Time Period”) which SM Line should have paid directly but simply chose to ignore its responsibilities on store door moves and made SEA pay or its cargo would be indefinitely detained.

Although SM Line’s Brief only addresses a few truly damaging SM Line documents produced and testimony elicited given during the discovery phase, SEA will responsibly and carefully rebut the arguments made by SM Line while highlighting for the Presiding Officer the substantial evidence and arguments which went unchallenged altogether.

SEA's complaint alleges, and its Opening Brief ("SEA's Opening Brief") establishes with voluminous record evidence, that SM Line violated the Shipping Act in connection with its policies and practices relating to D&D and related charges on SEA containers, where SM Line was the combined ocean and inland common carrier under store door terms, responsible for arranging and paying for the inland transportation. In considering SM Line's opposition more granularly, SM Line offers a handful of excuses for its conduct – many of them *post hoc* arguments generated in this litigation, a handful of anecdotal "what-if" alternatives, and ill-convinced and poorly supported contractual arguments – but what SM Line does not do is fundamentally explain how the totality of its misconduct during the pandemic was reasonable under the Shipping Act. And when considering all of SM Line's arguments, placing the blame on SEA time and time again for D&D charges, it is impossible to conclude anything other than that: SM Line abdicated its responsibilities on store door moves and embraced a pattern and practice of charging D&D not as a means to incentivize cargo movement, but as a means to charge more for less service.

It is more than just an abdication by SM Line. It is about SM Line issuing D&D charges, amounting to millions and millions of dollars in charges on store door moves, when there was no incentivizing purpose and indeed no legitimate need for SM Line to even have assessed its D&D charges. The charges are too massive, and they are too numerous. The record evidence indisputably establishes SM Line's actions and inactions caused and contributed to these D&D charges and does not justify the millions of dollars in charges SEA was forced to bear.

Now, in post-discovery briefing in this litigation, SEA learns that during the Relevant Time Period SM Line operated under an entirely fictitious, false distinction between "standard" door moves (*i.e.*, carrier haulage, where SM Line must pay for D&D charges) and "CNT" door moves, where SEA's mere nomination of a carrier nominated trucker ("CNT") purportedly fully absolved

SM Line of its operational responsibility to manage all of the work necessary, and pay for any associated D&D charges, to get a box from the port to its inland destination. This newly minted litigation position finds no support in the evidentiary record, or in any of the SM Line employees' emails, communications or actions. Had it been otherwise, SEA could have disabused SM Line of its incorrect premise. SM Line never raised this unrecognized industry definition for door moves because it was very pleased to collect full freight rates for the super all-in moves during the pandemic and then double dip by collecting gobs of D&D charges from consignee SEA.

This *post hoc* litigation position SM Line has taken now falls far short of what the FMC expects of an ocean carrier. What is the point of a combined through bill of lading if the obligations and costs to complete an inland move are foisted on the consignee when it becomes too difficult to complete services or the simple use of a CNT is involved? SM Line's attempted unilateral conversion of a move from door terms to CY terms is essentially what occurred and would be permitted if SM Line's arguments were adopted — and would have far-reaching implications that the FMC should be concerned about. Such a brazen argument has never been proffered by any ocean carrier in SEA's review of FMC precedent. The Presiding Officer it appears will be the first to make plain what a store door obligation should mean, CNT or not, in regard to D&D charges.

The implications are far-reaching: the rejection of SM Line's illogical argument will prevent other ocean carriers from attempting an irresponsible argument before the FMC and will resolve the delayed settlement of numerous D&D disputes where carriers are waiting to see how door move reparations claims are treated.

SM Line's aggressive and unfounded positions on the scope of its contractual rights and the manner in which it conducts business when a CNT is involved is the main thrust of its Opposition and can be summarized in six bullet points:

- SM Line claims its D&D Responsibility Report does not actually allocate responsibility to SM Line – *though* the record establishes that it was based on SM Line’s own analysis;
- SM Line is concerned that it was “forced” to use CNTs because of an RFP – *though* acknowledging the RFP was not with SEA and failing to analyze the actual CNT language in service contracts it clings to, let alone failing to note evidentiary failings with the RFP;
- SM Line relies on its tariff rules and “CNT Form” – *though* neither require SM Line to use CNTs;
- SM Line claims its portal website protects its dispute resolution actions with consignees – *though* SM Line relies on its current website language not in effect from 2019-22, and a portal is not a magical salve for meaningful resolution of charge disputes;
- SM Line is disappointed it is made to address the proximate cause of harm and unreasonable conduct on a macro scale instead of container-by-container as preferred – *though* it had the opportunity to undertake such a defense with its expert and chose not raise to either issue substantively; and
- SM Line is indignant that it is facing a potential judgment for \$14.5 million in direct damages and over \$2.6 million in additional costs and lost profits – *though* its Opposition did not challenge the \$2.6 million in other damages whatsoever and for direct claims solely argues an invoice-by-invoice analysis is required while not having any FMC precedent to support its theory.

SM Line has no defense, much less an explanation, to its unjust and unreasonable conduct during the Relevant Time Period. The Presiding Officer will reach this inescapable conclusion through careful scrutiny of the record. A record which SEA painstakingly developed at considerable time and expense despite SM Line’s intentional spoliation of relevant email communications between key decision makers on D&D charges at SM Line’s headquarters in Korea.

III. SM LINE FAILS TO REFUTE SEA’S PROPOSED FINDINGS OF FACT

SEA filed extensive Proposed Findings of Fact (“PFF”) in support of its Opening Brief, each of which were supported by evidence in the record. The Presiding Judge’s Scheduling Order

of April 21, 2023 expressly requires that: “[e]ach proposed finding of fact that the responding party denies must be followed by an exact citation to evidence that the responding party contends will rebut the evidence the proposing party claims supports the fact.”¹ SM Line’s Reply to SEA’s Proposed Findings of Fact (“SMLRPFF”) flout this requirement.² SM Line frequently replies by simply denying without citing to *any* evidence to support its denial³ – or provides a conclusory, boilerplate objection such as “mischaracterizes testimony” – without any explanation as to how the testimony is mischaracterized or any citation to the record supporting SM Line’s assertion.⁴ In other instances, SM Line denies a proposed finding of fact by simply referring to an entire document (e.g., “Gauthier Report” or “Gauthier Dep. Tr.”) without any further citation.⁵ Thus, the Presiding Officer should find these PFFs unchallenged and in SEA’s favor.⁶

¹ Dkt. No. 10, ¶ 17.

² SMLRPFF ¶¶ 81, 84, 87, 93, 96, 103, 112, 115, 119, 127-28, 132, 135, 138, 141, 145, 149, 151-53, 165, 175, 184-85, 190, 194, 197, 203, 206, 210, 218, 224, 226, 232, 240, 245-46, 255, 257-58, 261, 263-68, 270, 282-96, 298-301, 304, 306-07, 309-12, 314, 318, 321, 324, 326-32, 337-39, 341-51, 353-56, 358-59, 361-70, 374-79, and 381-95.

³ *Id.*

⁴ *See e.g.*, SMLRPFF ¶¶ 70, 102, 103, 128, 184, 185, 190, 194-95, 197.

⁵ When SM Line does attempt to cite to the record it does so erroneously. *See* SMLRPFF ¶ 258 (SM Line claims the testimony does not exist and that the transcript ends on page 182 (CX_001251). But review of the testimony reflects that the transcript ends on pg. 195 (CX_001264) and the cited testimony can be found on CX_001256-57 as cited by SEA.

⁶ *See Kovaco v. Rockbestos-Surprenant Cable Corp.*, 834 F.3d 128, 143 (2d Cir. 2016)(holding a party abandons its claims in opposition when such party “fail[s] to support or even address” such claims; *see also Magtoles v. United Staffing Registry, Inc.*, 665 F. Supp. 3d 326, 357 (E.D.N.Y. 2023) (“Ordinarily, any issues not addressed in an opposition brief are deemed abandoned by the party opposing the motion”)(quotation omitted); *Alvarado v. GC Dealer Servs. Inc.*, 511 F. Supp. 3d 321, 353-54 (E.D.N.Y. 2021); *A.H. by Horowitz v. Precision Indus. Maint. Inc.*, No. 19-CV-298 (FJS/CFH), 2021 WL 2417610, at *2 (N.D.N.Y. June 14, 2021) (holding that the defendants abandoned affirmative defenses because they “fail[ed] to refute or even address these issues in either their opposition to Plaintiffs’ motion [for summary judgment] or their cross-motion for summary judgment”); *Netherlands Ins. Co. v. Selective Ins. Co. of Am.*, No. 14-CV-7132 (KPF), 2016 WL 866348, at *7 (S.D.N.Y. Mar. 3, 2016) (“Defendant has abandoned any arguments regarding [the issue] because it failed to discuss this issue in its response brief”).

Additionally, even where SM Line challenges SEA's proposed findings of fact by citing to the record, such evidence is far too often nothing more than irrelevant, off-point, or mischaracterized documents and testimony. Based on such unsubstantiated or non-existent facts, SM Line attempts to justify its denial of SEA's proposed findings of facts – all of which should be stricken with prejudice by the Presiding Officer as conclusory statements without evidentiary support⁷⁷.

IV. ARGUMENT

SM Line's Brief fails to challenge a number of key points in SEA's Opening Brief:

1. SM Line is subject to FMC's jurisdiction. SEA's Opening Br. at 19-20.
2. In SEA's section on SM Line's unreasonable practices and regulations in violation of Section 41102(c) of the Shipping Act, SM Line does not challenge three of the factors presented: (a) that SM Line is an ocean common carrier under the Shipping Act; (b) that SM Line's acts or omissions occurred on a normal, customary, and continuous basis; and (c) the practice or regulation relates to or is connected with receiving, handling, storing or delivering property. SEA's Opening Br. at 18-22.
3. SM Line's practices related to rail storage were unreasonable in violation of the Shipping Act. SEA's Opening Br. at 45-46.
4. SM Line's practices related to equipment return were unreasonable in violation of the Shipping Act. SEA's Opening Br. at 46-47.

The Presiding Officer should find these sections unchallenged and in SEA's favor. Pursuant to 46 C.F.R. § 545.4, only certain positions raised in SEA's Opening Brief on the fourth and fifth elements of SEA's Section 41102(c) cause of action are contested.

⁷⁷ See PFF ¶¶ 19, 21, 22, 23, 26, 28, 31, 32, 34, 35, 39, 42, 46-52, 59, 60, 61, 68, 70, 72, 73-76, 79, 82, 89, 90, 98-101, 104, 108, 114, 116-117, 140, 144, 148, 156, 159, 166, 179, 188, 191, 205, 208, 235, 236, 262, 273, 277, and 278.

A. CORRECTING SM LINE'S POSITION ON SEA'S BURDEN OF PROOF

1. SM Line Wrongly Conflates the Burden of Proof Required for Proving Liability and the Burden of Proof Required for Proving Reparations

SM Line's burden of proof statements incorrectly combine the requirements for a complainant proving liability and establishing damages against an ocean carrier. SM Line Br. at 9-10. As observed above, while SM Line agrees that it is a common carrier, it claims (without support) that SEA has failed to satisfy the remaining *four* elements of the unreasonable practices provision of the Shipping Act, 46 U.S.C. § 41102(c).⁸ SM Line in fact has only raised arguments as to the final *two* elements (that SM Line's practices were unjust/unreasonable and that SM Line's actions were the proximate cause of SEA's losses). As SM Line has failed to raise an argument or introduce contradictory evidence with respect to the second and third elements of SEA's unreasonable practices claims (the acts of the carrier occurred on a normal, customary and continuous basis, and the practice relates to, *inter alia*, delivering property, respectively), the Presiding Officer should find that SEA has met its burden of proving those elements when confirming SEA's submissions on those points satisfy a *prima facie* standard of proof. With the final two elements, SEA addresses the governing burden of proof below.

2. Spoliation of Key Evidence Warrants Mandatory Adverse Inference Sanctions

SM Line attempts to sidestep the consequences of its failure to preserve by claiming that SEA "attempt[s] to invert the burden of proof by arguing spoliation of evidence." SM Line Br. at 15. In doing so, it insinuates SEA must prove spoliation as a means of demonstrating SM Line's

⁸ SM Line states "SM Line does not dispute being a common carrier . . . *As to the other factors, however, Respondent submits that SM Line has not engaged in any action that violated the Shipping Act . . .*" SM Line Br. at 2 (emphasis added). Immediately following this statement, SM Line criticizes SEA as having failed to show that SM Line's practices were unreasonable (element 4) or that SM Line was the proximate cause of SEA's losses (element 5), plus that SEA has not proven its damages. *See id.*

Shipping Act liability. SM Line either misunderstands SEA's argument or deliberately seeks to avoid answering it. SEA has shown both: (1) the evidence on record demonstrates that SM Line is liable for Shipping Act violations; and (2) SM Line has destroyed additional, relevant evidence demonstrating that SM Line is liable for Shipping Act violations.⁹

3. Adverse Inference Sanctions Are Appropriate When Relevant Information Has Been Destroyed

SEA's Motion to Compel and For Sanctions for Spoliation of Evidence ("Motion on Spoliation") demonstrates that SM Line failed to preserve and produce critically relevant emails ("Withheld ESI"), and that SEA suffered significant prejudice as a result. Dkt. No. 78, at 18. Where evidence has been destroyed by a defendant, the appropriate cure is an "adverse inference[] that the evidence [destroyed] was unfavorable to the defendant." *Id.* at 12.

SM Line attempts to recast SEA's seeking of an adverse inference as an effort by SEA to "subvert a baseline rule" of litigation. SM Line Br. at 15. In quoting an argument from SEA's Opening Brief, SM Line omits the final clause (highlighted below) from SEA's argument: "SM Line should be barred from arguing that SEA must affirmatively show evidence of specific performance failures that were a cause of, or contributed to, the underlying challenged charges *unless SM Line has proffered affirmative evidence in its defense.*" *Id.* (quoting SEA's Opening Br. at 15, except for emphasized language; underlined emphasis in original Motion for Spoliation, at 20). The highlighted language above reflects the fundamental purpose of an adverse inference – where critical evidence has been destroyed, and the party charged with destroying such evidence

⁹ SEA's meeting of its burden of proof with respect to SM Line's liability for Shipping Act violations is addressed immediately above as well as at pages 13-15 of SEA's Opening Brief and is further addressed at pages 6-11 of this reply. SEA's burden of proof with respect to damages, on the other hand, is discussed at pages 52-53 of SEA's Opening Brief as well as pages 61-76 of this reply. SEA's response to SM Line's Brief as to spoliation issues (set forth at SM Line Br. at 15-17) is provided below.

cannot affirmatively prove its defense, fairness dictates there should be an inference that the destroyed evidence would be unfavorable to the defendant.¹⁰ As noted in the Motion on Spoliation, “[i]f SM Line had a reasonable basis to charge D&D to SEA, it should have retained and produced the evidence.” Dkt. No. 78, 20 (citation omitted). SM Line should not benefit from its destruction of critical internal email communications between decision makers in Korea on D&D charges foisted on SEA; where no evidence exists as to SM Line’s rationale for the charges for which SEA seeks reparations, the presumption should be that SM Line’s charges were unreasonable. *See, e.g., E*Trade Sec., LLC v. Deutsche Bank AG*, 230 F.R.D. 582, 592 (D. Minn. 2005) (“The substantial and complete nature of the destruction of the evidence contained in the recorded telephone conversations and hard drives destroyed by Nomura Canada, justifies a finding of prejudice.”).

4. SM Line Blatantly Ignored its Duty to Preserve Evidence

SM Line repeats that it has a “long-standing email retention policy” and that it had no duty to preserve evidence prior to the filing of the complaint in “April of 2019 [*sic*].” SM Line Br. at 15-16. SM Line has provided no written evidence of this policy. Instead, it claims that a provision in one of its vendor contracts establishes the policy. *See* Dkt. No. 84, 4. This argument is nonsensical. **First**, a vendor contract is not a corporate policy. **Second**, it would be incredibly poor corporate governance for any entity, particularly a sophisticated company with global operations, to establish a policy by means of a vendor contract, particularly given the policy would cease to exist upon expiration or termination of the contract. **Third**, a company subject to the jurisdiction of the U.S. courts cannot outsource its responsibility to preserve relevant electronic data and then

¹⁰ Under Federal Rule of Civil Procedure 37(e)(2), upon a finding that the spoliating party acted “with the intent to deprive another party of the information’s use in the litigation,” a mandatory adverse inference instruction that the evidence was intentionally destroyed and that the lost information was unfavorable is appropriate. *See Dish Network L.L.C. v. Jadoo TV, Inc.*, No. 20-CV-01891-CRB (LB), 2022 WL 11270394, at *2 (N.D. Cal. Oct. 19, 2022) (discussing mandatory adverse inference instructions).

use that outsourcing as a defense against spoliation. Even more astounding is SM Line's adamance that it was under no duty to preserve documents or suspend the policy at any point leading up to or during this proceeding. SM Line Br. at 15-16. Without question, SM Line's duty to preserve was triggered in September 2022 (*at the latest*) when it received SEA's demand letter, yet SM Line blatantly ignored this obligation. Dkt. No. 86, 3-4.

5. The Evidence Shows the Korea D&D Decision-Makers Had Relevant Documents That Were Not Preserved

To justify why its spoliation of critical evidence should not result in an adverse inference, SM Line points to the D&D Management Procedure and claims the Korea decision makers were only involved "if a request for a discount, wavier, or inactivation was advanced by the costumer [*sic*]." SM Line Br. at 16. According to SM Line, without evidence of a request being submitted by a customer, no communications to or from the Korea decision-makers would exist and there are "no relevant communications...for SEA to argue spoliation about." *Id.* SM Line's continued efforts to deny the role of its Korea Headquarters ("Korea HQ") employees in the company's business operations are nothing short of farcical.

Assuming the Presiding Officer employs the presumption that SM Line intentionally destroyed Withheld ESI, that presumption would include the conclusion that the Withheld ESI contained various communications and documents favorable to SEA. While the destroyed evidence should have included responses to explicit requests for discounts, waivers, or the inactivation of charges, it would also have included discussions of the D&D Management Plan, the D&D Improvement Plan, stop clock requests, and extension of free days. *Id.*

SM Line's Brief demonstrates the falsity of its claim that no communications involving Korea HQ ever existed. Immediately after claiming no Korea HQ communications exist (SM Line's Br. § IV(2)(c)), SM Line next declares that it (a) "unilaterally waived approximately two

million dollars' worth of detention and demurrage ["D&D"] charges" and (b) implemented stop clocks where they did not collect D&D for 500+ days. SM Line Br. at 17. No credible evidence is provided to support these claims. Furthermore, if these claims were true, with Korea HQ being the *sole authority* to waive charges above \$ [REDACTED] or \$ [REDACTED] (depending on the timeframe), evidence of these claimed "waivers" and "stop clocks" *would only exist in the e-mail communications of the very persons whose communications were not preserved*. PFF ¶¶ 126, 174, 177, 209. SM Line would not claim that it waived "approximately \$ [REDACTED] million" in charges without *some* management correspondence. *Yet none exists*. SM Line's Brief unwittingly proves SEA's point – SM Line cannot rely upon claimed actions that exculpate it from Shipping Act liability when no supporting evidence has been proffered and all evidence of such actions has been destroyed by SM Line itself.

B. SM LINE SEEKS TO MINIMIZE THE AVARICIOUS AND OPPORTUNISTIC POLICIES SET IN ITS D&D IMPROVEMENT PLAN

As addressed initially in SEA's Opening Brief, the 2022 Internal D&D Management Improvement Plan ("D&D Improvement Plan") is essentially a roadmap of how SM Line viewed its actual internal objectives in the past and at the time the document was created: "[REDACTED] [REDACTED]." PFF ¶ 206. This was evidenced by SM Line modestly changing its formal, public-facing D&D Management Plan *the month after* the D&D Improvement Plan was promulgated, thus matching the consistent theme that SM Line's actual internal objectives were not consistent with its outward messaging.

SM Line's characterizations of the D&D Improvement Plan in its brief are patently misleading. **First**, SM Line's attempt to diminish the D&D Improvement Plan as Mr. Kim's rogue "proposal," merit no weight as it was finalized as a company document. PFF ¶¶ 196-211. **Second**, the fact that D&D was "issued" in Chandler, Arizona is immaterial as the D&D Improvement Plan is within the domain of Korea HQ and Korea HQ policy. SM Line Br. at 14, 17. **Third**, the D&D

Improvement Plan was far from “an aggressive and provocative strategy” of the “rogue” Mr. Kim’s, as SM Line now claims, but as detailed in SEA’s Opening Brief, pages 10-13 and 28-31, it was part of a larger theme of SM Line’s internal objectives’ inconsistency with external messaging. **Fourth**, SM Line’s reference to the fact that “[SM Line] witnesses . . . [did not] agree[] with Mr. Kim’s interpretation of SM Line’s goals” is misleading as none of the U.S. witnesses were privy to Korea HQ’s internal D&D objectives *except* SM Line’s chief executive in the U.S., K.K. Choi, and Mr. Choi’s testimony on the D&D Improvement Plan did not clarify why it was reasonable. SM Line Br. at 14; CX_000132-33, SEA 143(b)(6) (Session I) Dep. Tr. 104:7-105:10. **Fifth**, it is untrue that SM Line’s witnesses followed the requirements necessary under the Interpretive Rule as SM Line witnesses did not have any insight into FMC rules and/or did not set SM Line policies and procedures. PFF ¶¶ 277-79.

C. SM LINE FAILED TO ESTABLISH, OBSERVE, AND ENFORCE JUST AND REASONABLE REGULATIONS AND PRACTICES IN RECEIVING, HANDLING, STORING, OR DELIVERING PROPERTY IN VIOLATION OF SECTION 41102(C) OF THE SHIPPING ACT

1. FMC has Jurisdiction Over SM Line

The FMC has jurisdiction over SM Line as a “common carrier” and a vessel operating “ocean common carrier” as defined in 46 U.S.C. § 40102(7) and (18), which SM Line admits. Dkt. No. 11, SM Line Ans., ¶ 2. SM Line and SEA both agree that SM Line is a common carrier as defined by the Shipping Act and that it operated as a common carrier for shipments at issue here.

2. SM Line’s Acts Occurred on a Normal, Customary, and Continuous Basis

SEA’s Opening Brief provided substantial evidence that establishes SEA incurred charges totaling approximately \$14.6 million for over 18,186 transportation charges. PFF ¶¶ 153, 342, 345-47, 357, 360-63; SEA’s Opening Br. at 21-22. SEA has shown how 167 SM Line charges issued to SEA in 2019 amounting to \$13,999 burgeoned by **10** times the amount in 2020 (on 1,597

charges), by **208** times the amount in 2021 (on 6,942 charges), and by **420** times the amount in 2022 (on 9,480 charges). SEA’s Opening Br. at 22. SM Line’s Brief does not address or refute that its acts or omissions did not occur on a normal, customary, and continuous basis. Further, the SMLRPFFs¹¹ fails to present any evidence refuting the amount of charges or number of charges unreasonably assessed against SEA,¹² which is notable when considering that the large majority of these charges (all of 2020, 2021, and the first two quarters of 2022), were assessed on “store door” shipments for which the transportation costs legally were to be for SM Line’s account.¹³ SM Line has failed to refute SEA’s evidence that SM Line’s regulations and practices satisfy Section 545.4(b)’s normal, customary, and continuous standard.

3. The Practice or Regulation Relates to or is Connected with Receiving, Handling, Storing, or Delivering Property

In SEA’s Opening Brief, it addressed how SM Line’s practices, policies, and procedures related to D&D and its assessment of charges against SEA are directly related to the movement of cargo in ocean shipping. *See* SEA’s Opening Br. at 22. n. 15 (citing Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 F.R. 29638, at 29650 (May 18, 2020) (“Interpretive Rule”). The D&D charges at issue arise directly from SM Line’s handling of SEA cargo and providing transportation services. SM Line’s Brief does not directly address, nor does SM Line raise any dispute, that the D&D charges at issue do not arise directly from SM Line’s handling of SEA’s cargo and providing transportation services. SEA has met its burden.

¹¹ SM Line’s Reply to SEA’s Proposed Findings of Fact (*see* defined term on page 1).

¹² SMLRPFF ¶¶ 153, 342, 345-47, 357, 360-63.

¹³ *See, e.g.*, CX_003763-64, Gauthier Dep. Tr. 94:19-95:10 (SM Line’s damages expert’s testimony confirming that SM Line generally would be the party responsible for all costs of transporting SEA’s containers to their final destinations, including inland transportation costs).

4. SM Line's Practices and Regulations are Unjust or Unreasonable

To demonstrate an unreasonable practice claim under 46 U.S.C. § 41102(c) (unreasonable practices) SEA must show by a preponderance of the evidence that SM Line's practices were unreasonable. SEA's Opening Br. at 13-14 (citations omitted). While the evidentiary standard is preponderance of the evidence, the entirety of such evidence *does not* have to be direct. Rather, a complainant may use circumstantial evidence; indeed, such evidence alone may be sufficient in appropriate cases, although speculation is inappropriate. *Id.* at 14 (citation omitted). If such a showing has been made, then a complainant may recover on its claims if the ocean carrier's violations of law were the proximate cause of the complainant's injuries. *Id.* (citations omitted). SEA reaffirms, and rebuts the limited SM Line arguments, as to the unreasonable practices and proximate cause factors of its 46 U.S.C. § 41102(c) claims, below.

a) SM Line's Actual D&D Practices Were Unjust and Unreasonable

Citing *Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. § 41102(c)*, FMC Docket No. 21-09, 2022 WL 1239377 (ALJ Apr. 22, 2022) (hereafter "*Hapag Possible Violations*"), SM Line cavalierly asserts that SEA must prove that SM Line's actions were unreasonable for *each container* and for *each day*. See SM Line Br. at 9 (citing *Hapag Possible Violations*, 2022 WL 1239377, at *2, *27). This is the sole decision on which SM Line relies for this proposition. Review of further precedent, SEA's Opening Brief, and even the *Hapag Possible Violations* decision itself shows SM Line's all-encompassing statement is wrong.

In claiming that SEA has failed to meet its burden of proof with respect to unreasonable practices, SM Line has alleged – without any reference whatsoever to the voluminous record – the following sole point: that SEA "do[es] not include a single shipment that SEA can prove resulted in unreasonable charges being issued by SM Line to SEA." SM Line Br. at 10. The Second Circuit warned responding parties of the palpable risk when employing this opposition briefing tactic:

Indeed, when a defendant chooses to ground its attack in disparagement of the plaintiff's prima facie case (rather than, for example, offering affirmative evidence proving [an affirmative defense]), *it runs a heavy risk*. While it is true that the burden is on the plaintiff to establish a prima facie case under [a statute], a defendant must offer more than blanket assertions about mysterious possible causes if it is to survive a motion for summary judgment.

Transatlantic Marine Claims Agency, Inc. v. M/V "OOCL Inspiration", 137 F.3d 94, 101-02 (2d Cir. 1998) (emphasis added). While this FMC proceeding differs from the marine dispute in *OOCL Inspiration*, the appellate court's cautionary commentary is relevant here. SM Line's position rests on claiming that SEA did not meet its burdens rather than affirmatively showing non-liability.

SM Line's defensive strategy fails. SEA's Opening Brief detailed a number of instances where SM Line charged SEA for D&D on specific containers without providing any explanation for those charges. *See, e.g.*, SEA's Opening Br. at 27-28 (providing details supported by SM Line records of its refusal to deliver container moving under "store door" terms unless SEA paid \$5,245 in demurrage charges despite those demurrage charges accruing because of chassis shortages, PFF ¶ 275, and then referencing several other specific containers with respect to which SM Line acted similarly).¹⁴ While through bills of lading differ in terms from carrier to carrier, an ocean carrier which contracts to carry cargo to the ultimate inland destination indicated on through bill is responsible for the charges incurred through final destination delivery unless that carrier can prove that an exception to liability is present. *See, e.g., WWinners Container Servs., Inc. v. CMA CGM (Am.) LLC*, Civ. Act. No. H-09-1756, 2010 WL 1995400, at *2, *8 (S.D. Tex. May 17, 2010).

In *WWinners Container Services*, a Houston container storage yard sued the ocean carrier CMA CGM's local affiliate for outstanding container storage services for containers stored at

¹⁴ As discussed in Section IV(J)(4) of SEA's Opening Brief, these actions violate the Incentive Principle, were improper attempts to shift SM Line's common carrier inland transportation responsibilities to SEA and were impermissibly intended to maximize SM Line's revenue through D&D charges. *See* SEA's Opening Br. at 22-35.

WWinners' yard pending delivery to the Houston consignee. *Id.* at *2. The defendant sought to preclude a summary judgment motion brought by WWinners, arguing (among other things) that the consignee was liable for the container yard charges rather than the ocean carrier. *Id.* at *7. Even though the container yard was in the same city as the consignee, *id.* at *8, the court rejected the ocean carrier's argument, ruling:

[T]he bill of lading is for “combined transport,” meaning not just ocean-going transport but also land transport via rail and truck. . . . [Defendant] has not cited any evidence from which a reasonable trier of fact could conclude that once the containers were delivered to WWinners' Houston yard that [the ocean carrier] had fully performed the carrier's contractual obligation to transport the containers to the Final Place of Delivery identified on the bills of lading. Thus, even if, as [defendant] argues, the bills of lading are the documents that govern the dispute in this action, [defendant] has failed to establish that it is entitled to summary judgment or that there exists a genuine issue of material fact for trial because [defendant] has failed to cite any section of the bills of lading or the terms and conditions pursuant to which they were issued that allow or require WWinners to seek payment for the storage at issue from [the consignee].

Id. (emphasis added). Here, SEA's containers were carried under “store door” terms (*i.e.*, through bills of lading) with a “super all in” rate structure, which must include the costs and charges that might typically accrue in the transportation of a consignee's containers to deliver them to the final inland destination, and the parties agreed that all freight was paid in advance on those containers. PFF ¶¶ 20, 30, 57, 72. Yet SM Line foisted millions of dollars of costs that should have been for its account onto SEA. It is easy to see why SM Line's Brief ***claimed*** that SEA “do[es] not include a single shipment that SEA can prove resulted in unreasonable charges being issued by SM Line to SEA” ***without showing*** that SEA had failed to do so – an actual review of SEA's Opening Brief as well as the voluminous record demonstrates that SM Line's statement is fallacious. SEA's Opening Brief confirms SM Line's own D&D Responsibility Report shows that SM Line itself could find only very isolated examples of D&D costs (a mere \$7,515 out of approximately \$2 million analyzed by SM Line internally) attributable to SEA. *See* SEA's Opening Br. at 32-35.

SEA respectfully submits that it has provided more than sufficient evidence to establish its actual losses. As discussed above and in SEA's Opening Brief, SEA has explained why – as a default position – SM Line should be liable for all expenses incurred in connection with containers reaching the ultimate inland destination. The Presiding Officer should deem this position to be the correct one based on the undertakings by the parties at issue here. The logic of this position is also illustrated by analogizing the positions in this Shipping Act violations dispute with the well-developed burden shifting process that courts use to consider cargo liability claims under the Carriage of Goods by Sea Act ("COGSA").

COGSA contains a provision that presumes good order delivery of cargo if no notice is given by the consignee to the carrier within three days of delivery of the cargo. *See, e.g., Crisis Transp. Co. v. M/V Erlangen Express*, 794 F.2d 185, 187-88 (5th Cir. 1986) (citing, *inter alia*, COGSA Section 1303(6)). If, however, notice of damage is provided, the burden shifts to the carrier to prove the existence of an exception to liability for the cargo damage. *See id.* at 187 (citations omitted). COGSA is structured this way as it follows the traditional burdens which exist under the law of bailor and bailee; specifically, the burden of explaining loss of or damage to property is placed on the party in the best position of having information relevant to the cargo loss:

Since the bailee in general is in a better position than the bailor to know the cause of the loss and to show that it was one not involving the bailee's liability, the law lays on him the duty to come forward with the information available to him. [Citations omitted]. If the bailee fails it leaves the trier of fact free to draw an inference unfavorable to him upon the bailor's establishing the unexplained failure to deliver the goods safely. [Citations omitted].

Com. Molasses Corp. v. N.Y. Tank Barge Corp., 314 U.S. 104, 111 (1941).

Here, as cited precedent and even SM Line's own damages expert has testified, a store door move places the burden on the ocean carrier to deliver the cargo it has undertaken to transport to the designated consignee at the indicated inland location. SM Line's agreement to deliver SEA's

containers on “super all-in” store door terms (i.e., delivery to the bill of lading’s inland destination without cost to the cargo interests) creates the presumption that all expenses involved with delivering SEA’s containers to the destination listed on the SM Line through bill of lading were to be for SM Line’s account, unless SM Line can demonstrate that expenses relating to a particular shipment should be shifted to the cargo interests based on the cargo interests’ conduct.

The reason for this rule – as in the cargo damage and bailor-bailee scenarios – is simple: where the ocean carrier has the default responsibility to deliver cargo to the inland destination, then the ocean carrier (here SM Line) is in the best position to explain why the expenses at issue should be shifted to SEA. SM Line should have – for example – the correspondence with the terminals it contracts with for space and stevedore services, the correspondence with truckers (including SM Line’s issuance of specific work orders) it contracts with for services, and correspondence with the chassis providers it contracts with for services. Many of these types of communications are the type on which SEA would not need to be copied. It may have been in some instances, but the buck stops with SM Line as the contracting party. Hence, it is entirely proper, and supported by traditional presumptions in the American legal system, that all expenses incurred in the delivery of SEA containers to the ultimate inland destination under a store door move should be presumed to be SM Line’s responsibility *unless SM Line can prove why those expenses should be shifted to SEA*.

b) SM Line’s Dispute Resolution Process Was Neither Reasonable nor in Compliance with the Incentive Principle

SEA’s Opening Brief clearly establishes that SM Line lacks a meaningful D&D dispute resolution process. SEA’s Opening Br. at 36-38. But SM Line conflates the existence of an internal document *setting forth an aspirational dispute resolution process* with the provision of an established, clear, and consistent outward facing dispute resolution process to its customers. SM

Line Br. at 16. SEA is not disputing the existence of SM Line’s D&D Management Plan or even that it was updated several times since its initial adoption in 2017. PFF ¶¶ 167, 172. Rather, that SM Line’s implementation of its dispute resolution process was neither clear nor concise and was inconsistently implemented. SEA’s Opening Br. at 36-38. And as noted in SEA’s Opening Brief, a discount or inactivation of charges would only be available where a customer proactively filed a dispute; otherwise, SM Line presumed all charges, including those automatically generated with no human oversight, were correct. SM Line Br. at 15; PFF ¶¶ 125, 242.

The sole precedent that SM Line cites to claim SEA failed to meet its unreasonable practices burden is the *Hapag Possible Violations* decision. Chief Administrative Judge Wirth found (similar to here) that the ocean carrier required waivers to be requested from supervisors but the “autonomy to reject the dispute and hold the invoices as valid” lied with it. 2022 WL 1239377, at *18. The ocean carrier argued (like SM Line here) that – to meet its *prima facie* case – the complainant was required to show that the “containers on which detention was assessed were in fact empty and available for return to a marine terminal.” *Id.* at *21. Judge Wirth disagreed:

[The carrier] do[es] not cite any legal support for their assertion that claimants contesting demurrage must establish that containers were empty and available for return. While these may be relevant factors to consider in determining the reasonableness of charges, the Commission declined to create such a bright line test. ***There are no specific evidentiary requirements to object to demurrage or detention charges or to claim that such charges are unreasonable and no requirement that [complainant] present such specific evidence.***

Id. (emphasis added). SM Line’s *Hapag Possible Violations* decision analysis also ignores that in awarding the complainant a portion of its damages on its claims that the carrier unreasonably charged the complainant for detention when it was impossible to return empty containers to the shipping terminal, it further found that the carrier’s assessment of charges under such circumstances violated the Interpretive Rule. Chief Judge Wirth based her ruling (in part) on the carrier’s failure to train its personnel:

[The complainant] has also established that [the carrier] failed to revise its policies and sufficiently train its staff after the demurrage and detention rule was issued. In addition, although [the carrier] permits any evidence to be submitted to support a waiver request, [the carrier]’s waiver policies are not transparent. Accordingly, [the complainant] has established a violation of the Shipping Act because [the carrier] failed to waive detention charges on days when the evidence shows that appointments filled up and were therefore unavailable. Accordingly, [the complainant] has established this element [unreasonable practices] of a section 41102(c) violation.

Id. at *33. Here, prior to this proceeding, SEA had no visibility or insight into how invoices were disputed within the SM Line system. Only discovery can illuminate the process fully. And that discovery revealed, as in *Hapag Possible Violations*, that SM Line’s actions in providing no training to its staff, no autonomy to its employees to accept waiver requests, no transparent machinery to allow customers to challenge charges, and no actual dispute resolution process, amount to unreasonable practices. PFF ¶¶ 173-79, 180-85, 234-47, 277-79. SEA is similarly entitled to remuneration for these carrier failings.

c) SM Line Has No Consistent Internal D&D Management Procedure

SM Line’s primary argument is that the D&D Management Procedure shows it has a reasonable dispute resolution process and some of its employees are familiar with it. SM Line Br. at 16. The D&D Management Procedure addresses SM Line’s internal escalation and decision authority for D&D disputes but it provides no guidelines for analyzing disputes. As one senior U.S. SM Line employee confirmed, the only “training” he received on the document was to read through it and then, if there were questions, to ask the Network Operations Team (SELCON) at SM Line’s Korea HQ. CX_001122-23, Solarez Dep. Tr. 53:9-54:1.

This type of review might constitute knowledge of the *existence* of the D&D Management Procedure, but it certainly is not training and does not ensure that employees understand how to evaluate a customer dispute. For example, despite claiming familiarity with the document, at least one U.S. SM Line employee did not know who the Network Operations Team (SELCON) was and

was not aware of “who at SM Line [was] responsible for monitoring or making decisions regarding demurrage charges.” CX_001698-99, Gaston Dep. Tr. 45:16-46-20; *see also Hapag Possible Violations*, 2022 WL 1239377, at *18, *33 (reciting carrier’s insufficient training efforts and finding unreasonable practices as a result). SM Line argues that it handles D&D disputes on a case-by-case basis but does not produce any evidence of any sort of training that guides employees on how to actually handle claims. PFF ¶ 236.

Further, a written policy means little if it is applied inconsistently or *ad hoc*. Testimony from SM Line employees, both in Korea and the U.S., indicates the criteria they used for evaluating a dispute varied greatly and included a significant focus on commercial considerations (*i.e.*, the relationship with the customer, frequency of discount requests, payment history, etc.), but certainly not the incentive principle codified in the FMC’s Interpretative Rule. PFF ¶¶ 191, 193-194, 240.

d) No External Process Existed for Disputing SM Line D&D Charges

SM Line’s public facing dispute resolution process is even more muddled than its internal D&D Management Procedure. SM Line claims that SEA was on notice of SM Line’s “dispute resolution system” because of information contained in its invoices. SM Line Br. at 16. In support, it cites two detention invoices, one issued in July 2022 and one in August 2022. *Id.*; SMLRPFF ¶ 228. But a review of these two invoices and several others issued around the same time makes it clear that SM Line’s outward facing dispute resolution process is not a reasonable practice under the Commission’s Interpretive Rule and the Shipping Act.¹⁵

There are numerous examples of invoices issued by SM Line that do not contain information on SM Line’s dispute resolution process. *See* PFF ¶¶ 237; CX_005595, CX_005596,

¹⁵ The Interpretive Rule regulation states in relevant part: “the Commission may further consider the extent to which they contain information about points of contact, timeframes, and corroboration requirements.” 46 C.F.R. § 545.5(d).

CX_005597, CX_005598; CX_004862. Some invoices issued have no detail on how to lodge a dispute and others do not have any information at all. CX_005595, CX_005596, CX_005597, CX_005598, CX_004862. In all cases, the invoices did not include any information or guidance on the process for disputing them. PFF ¶ 237; CX_005595, CX_005596, CX_005597, CX_005598; CX_004862. Notably, despite all the referenced invoices being issued between July and September 2022, each contained differing information about disputes. *Id.*; SMLRPFF ¶ 228. The lack of consistent information on SM Line’s invoices creates significant questions regarding what process is in place and how an invoiced party should approach disputing an invoice.

SM Line next points to the presence of a link to its website on some invoices as clear instructions for how to dispute an invoice. SM Line Br. at 17. There is a fatal evidentiary issue with this defense; SM Line provides no evidence by way of documents or deposition testimony showing the website information in effect during SEA’s relevant claims period. This is SM Line’s burden as its affirmative defense. Because the Presiding Officer and SEA are left to guess, it is no defense at all and should be disregarded.

If considered, the current link¹⁶ leads to a page on SM Line’s website with minimal guidance on what is required to dispute an invoice – under a header “Dispute Documents,” invoiced parties are instructed to provide “supporting document demonstrating why timely return or pick up could not be made...” *Id.* The reference to specific “documents” is limited to requiring emails with SM Line employees for disputes asserting a lack of appointments.¹⁷ SM Line does not point to any guidance for disputing demurrage or storage charges, which represent the majority of

¹⁶ https://esvc.smlines.com/smline/CUP_HOM_3704.do?sessLocale=en (last visited May 29, 2024).

¹⁷ SM Line notes that failure to provide email correspondence with SM Line employees with a time-stamped screen shot of the terminal appointment system can result in the requested screenshots not being “deemed conclusive.” *Id.*

the reparations claimed in this proceeding, or disputing SM Line’s practice of systematically shifting payment responsibility for inland transportation charges on the consignee, which is a fundamental practice and policy challenged in this proceeding.

The detention-related guidance SM Line points to on this narrow segment of operations is scant, and it is notable that the current detail, such as it is, appears to have been added after November of 2023; prior iterations of the SM Line Demurrage & Detention Disputes website simply suggested under “Dispute Documents” that “[a]ll reason should be sent with supporting document which includes detail and specific reason in it.”¹⁸ SM Line has clearly failed to establish a clear and consistent dispute resolution policy. *See* Interpretive Rule, 85 F.R. at 29660-61.

SM Line then attempts to argue that SEA’s approval for payment of invoices issued amounts to tacit acceptance that the charges were reasonable. SM Line Br. at 17. As noted by senior SEA personnel, SEA approved payment of the invoices – ultimately a blanket approval –

¹⁸ Historic versions of the SM Line webpage are available through the “Wayback Machine – Historic Pages,” which is an internet archive that is available to the public and allows viewing of previous versions of on-line webpages. (https://web.archive.org/web/20230608040346/https://esvc.smlines.com/smline/CUP_HOM_3704.do?sessLocale=en). SM Line’s Detention & Demurrage Disputes website was captured three times – in February 2023, June 2023, and November 2023. The information on the webpage did not change, always showing the following:

› Time Frame

-
- Disputes related to demurrage and detention should be submitted within 30 days of the invoice date from SM Line
 - SM line will response within 10 business days from the receipt date

› Dispute Documents

-
- Invoice Number, B/L Number, Container Number
 - Reasons for dispute
 - * Free Time, Rate, Term and Lack of Terminal Appointment
 - All reason should be sent with supporting document which includes detail and specific reason in it.

› Contact

-
- Demurrage : phximport@smlines.com
 - Detention : delgrpnj@smlines.com
-

out of necessity to get its containers and to prevent further charges from accruing. PFF ¶ 260. Invoice payment does not convert an unreasonable charge into a reasonable one.

e) SM Line’s Unsubstantiated Claims of Waiving Charges and Implementing Stop Clocks Do Not Make its D&D Charges Reasonable

In support of its contention that its D&D charges were reasonable, SM Line makes numerous sweeping statements about the charges it allegedly waived or did not invoice in the first place (by implementing a stop clock). Even if it were true that SM Line waived or never invoiced some amount of D&D, there is a fatal flaw in SM Line’s logic – issuing an invoice to SEA for D&D charges *when SM Line was responsible for movement of cargo under a through bill of lading* was not reasonable in the first place. Alleging a willingness to waive or refund D&D charges after they “arise” does not mean that those charges were reasonable in the first place.

SM Line claims – without providing any actual evidence – that its policy is to “waive or refund demurrage and/or detention when incurred due to act or omission of SM LINE.” SM Line Br. at 17. But SM Line cannot explain the substantial record showing that SEA was charged and forced to pay D&D when the basis for the delay was within the risk and responsibility of SM Line on a store door move, *e.g.*, port congestion or chassis shortages. *See* SEA’s Opening Br. at 27-28, 34-35; PFF ¶¶ 144, 264, 270, 273, 275-76.

SM Line claims that it has “unilaterally waived approximately [REDACTED] million dollars’ worth of [D&D] charges.” SM Line Br. at 17. SM Line provides no explanation or evidence to support this assertion, either in SM Line’s Brief (where it simply makes a conclusory statement and cites to a proposed finding of fact) or in SM Line’s Proposed Findings of Fact (“RPFF”) (where it makes the same bald statement and cross cites to two additional proposed findings of fact that do not

support the assertion).¹⁹ SM Line Br. at 17; SMLRPFF ¶ 235 (referencing PFF ¶¶ 227, 276). If SM Line had in fact waived nearly \$■ million in charges, one would expect they would have reminded SEA of that fact at every opportunity throughout this proceeding with actual documents to support this self-serving alleged supporting action. They did not. Instead, the *suggestion* that SM Line has unilaterally waived millions in D&D fees was not introduced (without support) until months after discovery closed.

While not cited in its Brief, SM Line does include a proposed finding of fact that states it “waived nearly \$■ million dollars [*sic*] of D&D charges specific to SEA.” See RPFF ¶ 88 (citing RX_0004706). But the evidence cited by SM Line’s RPFF fails to support its claim for a number of reasons, including the document is not authenticated, the metadata indicates it was created on **April 27, 2023** (*i.e.*, after SEA’s complaint was filed), there is no indication of the source of the data or of its reliability, and there is no reference to SEA anywhere in the spreadsheet. See RX_0004706. Additionally, a spot check of several shipments listed in the Excel sheet reveals that – contrary to SM Line’s suggestion that it unilaterally waived charges – SEA was assessed and paid charges on many of the containers listed with purported “waived” charges. See SEA RPFF ¶ 88. In short, SM Line has failed to provide *any* support for its claim it waived D&D charges.

SM Line pivots to introducing a second novel and similarly unsubstantiated suggestion – that it had in fact implemented multiple stop clocks which resulted in millions of dollars in unbilled D&D. SM Line Br. at 17. SM Line claims it applied a “general stop clock” which resulted in D&D charges for “523 days” not being billed “at any given port or terminal.” *Id.* SM Line then goes a step further, claiming that it also provided SEA alone an additional “584 days” of stop clock

¹⁹ The cross cited PFFs deal with charges assessed due to chassis shortages (PFF ¶ 276, citing to PFF ¶ 274) and invoices missing minimum information required by OSRA (PFF ¶ 227).

benefits that resulted in millions more in charges not billed. *Id.* SM Line has provided no evidence to corroborate or support these declarations of their “reasonable acts”; instead, it appears they hope that by declaring they have acted reasonably, the Presiding Officer will overlook SM Line’s lack of evidence to support the contention and ample evidence to the contrary. This argument must be seen for what it really is: an unreliable declaratory statement made with no actual evidence or support that must be summarily rejected for its unreliability.

To support the contention that it implemented hundreds of days of “stop clocks”, SM Line’s Brief cites to two RPFFs,²⁰ which in turn cite to two cryptic Excel spreadsheets²¹ without any accompanying declarations or affidavits as to their foundation, authenticity and content. SM Line Br. at 17; RPFF ¶¶ 86, 87. The documents are an enigma as it is unclear who authored the documents, the data used to prepare the spreadsheets or the purpose for which they were authored. Worse yet, the information contained in the spreadsheets does not make clear what the information represents. Given the column titled “Stop Clock No.,” it can be surmised that the information in the document relates to stop clocks, but it is not clear whether it represents stop clock requests or stop clock approvals, whether such requests or approvals apply to one or multiple containers, or whether they apply to full or partial days. SM Line did not introduce and authenticate either

²⁰ SM Line’s Brief also cites to CX_000104 as evidence that it implemented the stop clocks. CX_000104 is completely unrelated testimony of SM Line’s 143(b)(6) witness which discusses his preparedness to testify about the various versions of SM Line’s D&D Management Procedure.

²¹ Neither spreadsheet has been authenticated or introduced during this proceeding. According to the available metadata, each spreadsheet was created on May 7, 2023; i.e., once again, after SEA’s initial complaint was filed. *See* RX_0004707, RX_0004698. Further, both spreadsheets were created by “IB Leaders Co., Ltd”, what appears to be a Korean technology company with no established relationship to SM Line. <http://www.ibleaders.co.kr/> (last visited June 5, 2024). Except for an additional sheet in one of the documents with what appears to be a summary pivot table, the documents themselves appear to contain virtually identical information. *Id.* It is unclear where the data was sourced from, particularly given the unknown authors, and whether that source is reliable.

spreadsheet with supporting documents during the extended discovery period, resulting in unreliable evidence that does not support the contention being made. Or deposition testimony to support the “evidence” which could then have been cross-examined to test its veracity.²²

Moreover, neither spreadsheet includes *any* references to SEA, or any other shipper/consignee, and neither spreadsheet includes container numbers, bill of lading numbers, or any other identifying information. *See* RX_0004707; RX_0004698. SM Line is suggesting that between the general stop clock and a SEA specific stop clock SEA has benefitted from 1,007 “days” where it was not billed for detention or demurrage. With no reference to SEA or specific SEA containers and no supporting documentation provided, SM Line is essentially saying “trust us – we could have invoiced SEA for more D&D but chose not to.”

While declaring without support that it magnanimously implemented stop clocks and therefore its D&D practices are reasonable, SM Line again fails to acknowledge that *it should not have been imposing these unreasonable charges in the first place*. Under the remarks column in the Excel spreadsheets, the bulk of the comments reference a terminal being closed, including for reasons like “holidays.” The FMC has been clear that charging D&D when a terminal is closed is an unreasonable practice which violates the Shipping Act; it should have been unnecessary for SM Line to implement a manual stop clock in the first place. Interpretive Rule, 85 F.R. at 29651. And if there was a stop clock issued, SM Line deserves no credit for Shipping Act compliance.

²² This is why federal courts typically require the party opposing summary judgment to offer properly authenticated and admissible documents. *See, e.g., Woods v. City of Chicago*, 234 F.3d 979 (2d Cir. 2000) (a “court may consider any evidence that would be admissible or usable at trial, including properly authenticated and admissible documents or exhibits.”); *see also Yoon v. Sibelius*, 2010 WL 4293513, at *4, Case No. CBD-08-3173 (D. Md. Nov. 1, 2010) (“Under the Federal Rules of Evidence, documents are rarely admitted on their face. More often, a foundation must be laid which at least supports a colorable argument for authenticity. The document may be admissible for other reasons, but the Court should have comfort in knowing that it is authentic. In summary judgment, a proper affidavit achieves this goal.”).

The SM Line assertions of purported “fact” with no record evidence warrants revisiting SM Line’s reliance on the *Hapag Possible Violations* decision. In that decision, SM Line is correct that Chief Judge Wirth did deny certain portions of the FMC Bureau of Enforcement’s (“BOE’s”)²³ claims. In so doing, she examined the record relating to the containers at issue, including communications between the truckers and the ocean carrier as well as the return availability documentation provided by the terminal to the truckers and shared with the ocean carrier. As can be seen by the numerous citations by ALJ Wirth to the record in that case, the large amount of the evidence cited was *from the ocean carrier*. See 2022 WL 1239377, at *10-13 (citing evidence regarding the various container claims in the decision’s statement of facts). Here, unlike the respondent ocean carrier in *Hapag Possible Violations*, SM Line has produced virtually none of its internal communications with respect to the delay charges imposed on SEA’s containers. Thus, the ALJ thus cannot assess that information in the manner in which ALJ Wirth had available to her in the *Hapag Possible Violations* decision and can therefore not credit SM Line’s factually unsupported stance.

5. SM Line Made No Changes to its Policy to Address Supply Chain Issues During the Pandemic

SEA’s Opening Brief established evidence that SM Line failed to make any changes to its policies to address supply chain issues during the pandemic, which SM Line does not refute or address in its Brief or proposed findings of fact. SM Line admits that during the pandemic, port congestion and shortages of truck drivers and truck chassis affected the movement of cargo, elevating dwell times, causing landside bottlenecks, and continued chassis shortages. SMLRPFF ¶ 352. SEA provided detailed documentation evidencing the “dramatic increase of land transportation charges” that SEA was being assessed by ocean carriers in 2021 and 2022 related

²³ Precursor to the FMC’s Bureau of Enforcement, Investigations, and Compliance (BEIC).

to the pandemic. PFF ¶ 365. SEA further provided evidence establishing the additional costs it incurred to address pandemic related issues. PFF ¶ 365. SM Line fails to provide any evidence establishing that it made changes to its policy to address supply chain issues. Instead, it merely denies SEA's evidence *without any citation to the record*. SMLRPFF ¶¶ 365-367.

6. SM Line Was Responsible for the Acts and Omissions of All Truckers – CNTs or Not – Used with SEA Containers Shipped Under Through Bills of Lading

a) Neither The RFQ, the Service Contracts, Nor the CNT Form “Require” SM Line to Use CNTs and Responsibility to Vet, Pay, and Manage CNTs Rested with SM Line for Inland Transportation Moving Under Through Bills of Lading

In yet another ill-fated bid to shirk its obligations under store door moves and shift responsibility to SEA, SM Line points to a half-century old pre-containerization (and pre-Interpretive Rule) case *In the Matter of Free Time and Demurrage Practices on Inbound Cargo at New York Harbor* (“*NY II*”), Dkt. No. 65-14, 11 F.M.C. 238, 240-41 (1967), for support. The *NY II* case involved a longshoreman's strike which prevented consignees from removing cargo from the pier, while also being assessed significant demurrage charges. The central context of *NY II* was the application of “once-in-demurrage, always-in-demurrage”—a principle historically applied when cargo has not been picked up at the marine terminal during free time and it becomes impossible to pick up after free time expires. Unlike this proceeding, *NY II* has nothing to do with store door moves.

SM Line suggests that *NY II* justifies any unreasonable D&D charges it has assessed to SEA because a consignee “can be subject to the penalty element of [D&D charges] when those charges are issued due to reasons that are ‘not entirely beyond his control.’” SM Line Br. at 3. This is not the applicable standard for D&D charges; the correct standard, the Incentive Principle, is

found in the Commission’s Interpretive Rule.²⁴ SM Line then proceeds to apply the inapplicable *NY II* standard to the current proceeding, falsely claiming “SEA failed to show that any of the charges at issue were levied...for reasons entirely beyond SEA’s control.” SM Line Br. at 3. This bald statement is belied by the record here. *See* SEA’s Opening Br. at §§ IV(G)-(H) and (J).

SM Line then contends that (i) certain language in a 2020 “Maritime Transport Contract Quotation Guide” (“RFQ”) by “[REDACTED]” purportedly forced SM Line to use CNTs recommended by SEA as a prerequisite for SM Line’s ability to bid for service contracts; (ii) pursuant to the RFQ, SM Line acquiesced to such a condition, was awarded, and entered into service contracts with SEA’s foreign affiliates, which somehow govern the SEA-SM Line relationship;²⁵ and (iii) two one-page, undated documents titled “Request to Use a [CNT]”

²⁴ *See* 85 F.R. 29638. As succinctly noted in the Interpretive Rule when declining the request from ocean carriers to reaffirm the “once-in-demurrage, always-in-demurrage” principle: “To the extent, then, that these pre-containerization cases are relevant, they stand for the proposition that insofar as demurrage is a penalty i.e., an incentive to retrieve cargo, it is unreasonable to assess it on cargo “in demurrage.” This is consistent with the guidance in the rule.” *Id.* at 29654.

²⁵ SM Line claims that “SEA nominated the CNTs that it needed to use for moving SEA’s containers” for the entire Relevant Time Period (2020 to 2022) of over 7,000 containers. RPFF, ¶ 27. In support, SM Line’s initial RPFF cited a document with Bates label “SM Line_0156569-70” (RX_0002145-47), which is a 3-page email chain *entirely in Korean*. In its revised RPFF, SM Line cited to another document (RX_0002925-27), which appears to be a translated version, which was never produced during discovery. There are several other instances where SM Line cites to a document in its revised RPFF that differs from the document cited in its initial RPFF or added citations that were not previously included in its initial RPFF. *See, e.g.*, RPFF, ¶ 55 (adding citation to 2-page email chain (RX_0004143)); RPFF ¶ 89 (adding citation to 4-page email chain (RX_0004121)); RPFF, ¶ 107 (removing all citations to SEA’s appendix and replacing with a single citation to a 5-page email chain (RX_0004269-73)). On this basis alone, the Presiding Officer should not consider this to be a reliable “fact” on which SM Line could base its argument, as these additions violate the Presiding Officer’s May 23, 2024, Memorandum Order Requiring Corrected Opposition (Dkt. No. 101), 2 (ordering that “the corrected [SM Line] PFF *may not include any additional* argument, analysis, or *textual material . . . beyond what was contained in the May 15, 2024 documents*”) (emphasis added). But to the extent that the Presiding Officer considers this email chain, it does not support SM Line’s contention at all. At best, the email chain merely shows “the warehouse CNT list for North America” as of January 17, 2020. Nowhere in this email

absolutely required SM Line to use CNTs. But none of these documents say so anywhere, and a detailed review of them only highlights the deficiencies in SM Line's argument:

- There is no indication that the RFQ is intended to be incorporated into the service contracts, and as discussed more fully below, it is not a document that is included in a service contract.²⁶
- The RFQ clearly states that “[a]ll materials will be used for the purpose of requesting business proposals and freight quotations related to transportation contracts.”²⁷
- The RFQ does not identify applicable routes or rates and is undated. Thus, it is unclear whether it even relates to the movement of SEA cargo.²⁸
- Neither the RFQ nor the seven service contracts (“Service Contracts”), which SM Line contends govern the SEA-SM Line relationship, are signed.²⁹
- SEA is not named or identified in the RFQ.³⁰
- SM Line has failed to authenticate the RFQ or the service contracts and establish their foundation and relevance.

The RFQ and service contracts are otherwise inapplicable to the SEA-SM Line relationship. And to the extent that they arguably are relevant at all, the RFQ and service contract languages fundamentally undermines SM Line's position.

chain is there a reference to any RFQ or service contract that obligated SM Line to use the CNTs listed. Nor does the email chain represent any type of agreement or assignment of a CNT to transport specific SEA containers during the Relevant Time Period.

²⁶ RX_0002818-41; RX_0004485-501; RX_0004502-18; RX_0004519-41; RX_0004542-62; RX_0004563-83.

²⁷ RX_0002820.

²⁸ RX_0002818-41.

²⁹ RX_0004489; RX_0004506; RX_0002389; RX_0002719; RX_0004523; RX_0004546; RX_0004567.

³⁰ RX_0002818-41.

(1) The Presiding Officer Should Not Afford Evidentiary Weight to the RFQ or the Seven, Unsigned Service Contracts SM Line Proffers

As a threshold matter, there are fatal evidentiary concerns regarding the cited RFQ and seven unsigned service contracts that SM Line refers to in its RPFF (Dkt. No. 95) as they are not documents (i) authored, signed, or issued by SEA, and (ii) no SEA witnesses authenticated or even testified that they were familiar with them. To the contrary, SM Line chose not to inquire about the RFQ to any of SEA or SM Line witnesses during depositions.³¹ Likewise, SM Line chose not to inquire about the seven unsigned Service Contracts to **any** SEA witnesses, including its corporate designee witness, *i.e.*, Mr. Jeung Choi. Worse yet, Mr. K.K. Choi (SM Line’s sole witness who testified about the Service Contracts) testified that he has seen these types of documents before, but he “didn’t have any direct involvement” with “negotiating” them, nor was he personally involved in negotiating any agreement with “Samsung.” CX_000526-42, K.K. Choi Dep. Tr. 173:3-189:3; 174:8-175:11; 182:20-25; RX_0002303; RX_0002385; RX_0002660; RX_0002765. If SM Line was going to rely on the alleged RFQ or Service Contracts, it should have sought to properly authenticate the documents,³² and establish their foundation and relevance.

The Presiding Officer should not afford evidentiary weight to the RFQ, the Service Contracts, or SM Line’s arguments based thereon. *See* 46 C.F.R. § 502.202 (“The presiding officer,

³¹ SM Line did ask Mr. K.K. Choi during his individual-capacity deposition about documents titled “2020 RFQ for Ocean Freight” and “2021 RFQ for Ocean Freight,” both bearing the “” logo. CX_000534-38, K.K. Choi Dep. Tr. 181:25-183:11; 183:16-185:15; CX_005656, CX_005681. Not only does SM Line’s opposition eschew referring to, much less relying on, these documents, Mr. Choi cannot opine on their content or significance, as he is not an employee of “,” did not draft them, and otherwise lacks personal knowledge.

³² *See* Fed. R. Evid. 901(b)(1); *Carmona v. Toledo*, 215 F.3d 124, 131 (1st Cir. 2000) (each document submitted in support of summary ruling must either be properly authenticated or must be self-authenticating under the Federal Rules); *Goguen ex rel. Estate of Goguen v. Textron, Inc.*, 234 F.R.D. 13, 16 (D. Mass. 2006) (“...[A]uthentication requires competent testimony concerning the document.”).

however, has the right and duty to limit the introduction of evidence and the examination and cross-examination of witnesses when, in his or her judgment, such evidence or examination is irrelevant, immaterial, or unduly repetitious.”). SM Line’s claim that it “was contractually bound to use a [CNT] for SEA shipments” SM Line Br. at 4, fails for a lack of evidentiary foundation.

(2) The RFQ Does Not Require SM Line to Use CNTs

Even if the RFQ were to be given any evidentiary weight by the Presiding Officer, the RFQ does not support SM Line’s contention that it contractually required SM Line to use CNTs as a condition to SM Line’s ability to bid for Samsung service contracts.³³ **First**, the language SM Line randomly quotes from the RFQ – “The shipping company provides service with a CNT Trucker if the importer has a preferred trucker” (“CNT Language,” RX_0002834) – is not mandatory by any means. This is not at all surprising, given the fact that it is SM Line that has the final say in employing and contracting with truckers for delivering SEA shipments on time, and SM Line could, and did, reject CNT nominations. *See* PFF ¶¶ 53-55. **Second**, the RFQ, by definition, is not a legally binding contract, much less an SM Line-specific document. Indeed, SM Line’s own liability expert (Mr. Lee Clair) admitted as much:

³³ Other than a definitional understanding of what a CNT or preferred trucker is, it is unclear why SM Line cites to *TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp. & Evergreen Line Joint Service Agreement*, FMC Dkt. No. 1966(I), Order Affirming the Initial Decision at 2 (Dec. 29, 2022) or *Lincoln Transportation Services, Inc. v. CMA CGM (Am.), LLC*, 15-9234 DDP-RAO, 2018 WL 501527, at *6 (C.D. Cal. Jan. 18, 2018), *aff’d*, 772 Fed. Appx. 593 (9th Cir. 2019). Either way, these cases are inapposite and have no application to the instant dispute. The former case involved a dispute between a motor carrier claimant and an ocean carrier respondent and “a Preferred Trucker Agreement (“PTA”) in which [the ocean carrier] agreed to the designation of [a motor carrier] as the preferred trucker for [a shipper’s] import and export cargoes.” *TCW*, Order at 2. Here, the dispute is between a consignee, not a motor carrier, and an ocean carrier, and there is no allegation, much less existence, of a similar CNT agreement or PTA. Likewise, the latter case involved “[a] ‘preferred trucker’ arrangement [where] a cargo-owning customer ‘agree[s] to nominate [a motor carrier] as its preferred trucker in its service contracts with Ocean Carriers.” *Lincoln Transp. Servs.*, 2018 WL 501527, at *6. Here, nowhere in the Service Contracts is a particular motor carrier identified as a CNT.

Q. Okay. Is this RFQ an agreement by [SEA]?

A. I'm not sure this is an agreement at all.

CX_003494, Clair Dep. Tr. 164:17-18. Instead, the RFQ was expressly issued on its face to ocean carriers "for the purpose of requesting business proposals and freight quotations related to transportation contracts." RX_0002820.

Moreover, the RFQ process involved three rounds of "face to face meeting" and quotation deadlines" from the last week of October 2020 to the end of December 2020. RX_0002826. There is no evidence in the record of whether this process occurred or what the final outcome was. And the specific copy of the RFQ referenced in SM Line's Brief has no indicia of reliability.³⁴ Among other things, the RFQ is undated, it is unclear as to when the RFQ was issued, it is unclear at what stage SM Line would have been in terms of the RFQ process, and it does not even reference the routes covered by the RFQ. Thus, the CNT Language has no application here.

Third, the RFQ does not, and cannot, bind SEA. The RFQ was issued by "[REDACTED]" (RX_0002818) and does not mention SEA anywhere. Indeed, the RFQ merely refers to an undefined "Appendix" of an undefined "Agreement for details" regarding undefined "[a]pplicable parties." RX_0002840. There is no "Appendix" or "Agreement" accompanying or being incorporated by reference into the RFQ that refers to SEA. **Fourth**, even if the RFQ were found to apply to the SEA-SM Line transport, it would have also required additional responsibilities of SM Line that it has abdicated or failed to perform, like:

- Provid[ing] optimal service for door delivery [and] efficient services to optimize/minimize transit time and cost (RX_0002834);

³⁴ The specific copy of the RFQ relied upon by SM Line is originally in Korean but translated on "May 14, 2024" – just a day before the original SM Line's Brief deadline – without notification to SEA or allowing SEA to verify the accuracy of such translation. RX_0002842. Further, the accompanying certification fails to meet SM Line's counsel's own standard of providing "whoever is translating it...is proficient in the language." CX_000113, SM Line 143(b)(6) (Session I) Dep. Tr. 85:2-8.

- Provid[ing] optimal service from origin to destination along with cargo visibility (RX_0002832);
- Provid[ing] best efforts to ensure that the cargo is not delayed until final transportation is completed (RX_0002834);
- Provid[ing] container tracking and vessel navigation info (RX_0002833);
- Provid[ing] empty containers for timely pick-up and transport (RX_0002833);
- Provid[ing] good containers as a top priority (RX_0002833);
- Additional costs are not incurred when picking up and returning empty containers (RX_0002833);
- Establish[ing] a dedicated Samsung organization...for Samsung Electronics transportation operations (RX_0002834);
- Provid[ing] immediate service in response to Samsung's requests (RX_0002834).

To the contrary, the record evidence establishes that:

- SM Line failed to provide optimal service for door delivery and abdicated its inland transportation service;³⁵
- Instead of minimizing D&D, SM Line maximally transferred an astronomical amount of D&D to SEA;³⁶
- SM Line hardly provided Cargo Visibility, unless SEA pestered them for it;³⁷

³⁵ See, e.g., CX_001700; CX_001734, Gaston Dep. Tr. 47:7-11; 81:15-23 (SM Line declining to waive demurrage and instead requiring SEA to pay terminal directly before container could be released); CX_004802-03 (SM Line recommending that bookings be handled under CY moves rather than door moves); CX_004846 (SM Line directing trucker to resort to SEA for help clearing demurrage); CX_001228, Solarez Dep. Tr. 159:2-21 (SM Line refusing to clear rail storage that accrued due to chassis shortages, despite being responsible for providing chassis).

³⁶ CX_005436-37, Expert Report of Gregory E. Smith dated Feb. 21, 2024 ("Smith Report") Exs. 1.1 and 2 (number and dollar amount of charges by category).

³⁷ See, e.g., CX_004844-47; CX_004911-18 (SM Line's response to complaints from SEA or trucker that terminal congestion prevented return of equipment was "outside of [SM Line's] control" and LFD would not be extended); CX_004834-10 (SM Line rejecting requests to clear rail storage and extend LFD due to congestion and chassis shortages); CX_002670-71, Rapske Dep. Tr. 58:16-59:24 (SM Line merely informed SEA that no chassis was available when SEA requested assistance).

- SM Line did not ensure constant supply of containers and chassis for immediate pick-up and delivery;³⁸
- Empty container pick-up and return were not available even when requested multiple times, for which SM Line charged SEA massive detention;³⁹ and
- SM LINE did not set up a dedicated staff only for Samsung cargo operations.⁴⁰

(3) Neither The Service Contracts, SM Line Tariff Rules, Nor the CNT Form Require SM Line to Use CNTs

Facing these fatal defects of the CNT Language in relation to the SEA-SM Line business, SM Line next argues that it was somehow “required to use the CNTs” recommended by SEA: under (i) “the contracts with [REDACTED] and its contracts with [REDACTED]”; (ii) certain SM Line tariff rules, which it contends have been “incorporated in” the Service Contracts; and (iii) the 2017 CNT Form. SM Line Br at 6; RPFF ¶¶ 33, 36-43, 45. SM Line’s argument fails.

(a) Service Contracts Did Not Require Use of CNTs

Other than a single, 3-page January 2020 email chain (RX_0002146 (Korean); RX_0002925 (Translated)), SM Line does not analyze or otherwise identify (i) the applicable Service Contract; or (ii) portions therein that SM Line contends require mandatory use of CNTs

³⁸ CX_002027-28; CX_002028, Li Dep. Tr. 61:22-62:12; 62:14-22 (SM Line policy did not permit truckers to use their own chassis in event of shortages); CX_004516-17; CX_004518 (Spirit Transportation informing SM Line of difficulties picking up container due to congestion and chassis shortages, on which SEA ultimately paid over \$5,400 in demurrage); CX_004848-54 (SM Line stating that SEA was responsible for paying chassis usage fee); CX_002670-71, Rapske Dep. Tr. 58:16-59:24 (“The only feedback [SEA] typically got was there were no chassis available. There’s nothing we [the steamship lines] can do about it. So, Samsung had to step in to stop the clock and move this product.”).

³⁹ See, e.g., CX_004869-70 (only one location in Los Angeles/Long Beach area available to accept empty equipment returns); CX_004861 (SEA emailing SM Line that SEA was “not getting response regarding empty return,” causing delays in empty returns and accrual of per diem); CX_001127-29, Solarez Dep. Tr. 58:3-60:6 (confirming that SM Line would not issue stop clock on per diem if trucker was not able to return equipment due to terminal congestion); CX_005436-37, Smith Report Exs. 1.1 and 2 (showing SEA paid over \$1.3 million in detention charges on SM Line shipments).

⁴⁰ See CX_000906-07, Lee Dep. Tr. 42:19-43:12 (SEA not considered a major customer of SM Line’s U.S. operation and not treated differently from any other SM Line customer).

recommended by SEA. And nowhere in this email chain is there a reference to any RFQ or Service Contract that obligated SM Line to use the CNTs listed. Nor does the email chain represent any type of assignment of a CNT to transport specific SEA containers during the Relevant Time Period; at best, it merely shows “the warehouse CNT list for North America” as of January 17, 2020.

Indeed, none of the unauthenticated 2020 or 2021 Service Contracts SM Line contends are at play in this dispute mentioned, much less required, use of CNTs by SM Line. While two 2022 Service Contracts that SM Line relies on – RX_0004563 (██████); RX_0002385, RX_0004160 (██████) – contain certain CNT language that unilaterally disclaims its store door responsibilities under through bills of lading, they are not executed by either party, and lack proper authentication. As such, it is impermissible to consider them. RX 0004563; RX 0002385, RX 0004160.

(b) SM Line Tariff Rules Did Not Mandate Use of CNTs

Contrary to SM Line's position, SM Line's tariff rules are silent on, and do not require, use of CNTs. The only reference to SM Line's tariff in any of the Service Contracts is a general reference to SM Line's overall tariff included in the boilerplate appendix language that accompanies FMC filed agreements.⁴¹

12. PROVISIONS/NOTES/EXCEPTIONS:

A. Provisions :

This Contract incorporate by reference (a) SMLM-202, Service Contract Tariff, (b) SMLM-001, Governing Rule Tariff(as stipulated in the tariff), (c) SMLM-700(SM Line Eastbound Asia to US), SMLM-014(SM Line tariff no. 14 eastbound Far East to Canada NC) (d) SMLM-021, Bill of lading Tariff, (e) SMLM-033, Equipment Interchange Tariff, available electronically at www.smlines.com, where the statement of essential terms will also be available. With such incorporation, this is the full agreement between the Parties and an exclusive statement of the terms of the Contract. Each Party warrants that it is not relying on any written or oral representations outside the Contract by any other Party. Any prior or contemporaneous oral or written matter is of no force or effect and may not be used to modify or interpret this Contract, which may only be amended by a writing signed by the Parties. This Contract and any amendments are binding only when filed with the FMC. Unless otherwise specified herein, rates for the shipment in the trade other than Trans Pacific Eastbound are subject to respective tariff specified in above (c) terms and conditions in Governing Tariff of the respective trade.

⁴¹ RX_0002693; RX_0002394; RX_0004555; RX_0002362, SM Line_0163869; CX_005707, SM Line_0163966; RX_0002328, SM Line_0163852.

There is no requirement in the Provisions above or any of the individual Tariff Rules mentioned therein that SM Line must utilize CNTs recommended by SEA for SEA shipments.

(c) The 2017 CNT Form, to the Extent Relevant at All, Gave SM Line Ultimate Authority to Employ CNTs or Not

SM Line continues to mischaracterize – and invites the Presiding Officer to regard – the 2017 CNT Form as a painstakingly detailed and complicated contract between sophisticated corporate entities following lengthy and contentious negotiations. Far from it.

Two CNT Forms, each one-page fill-in the blanks style notice form, were nothing more than informational forms emailed to and filled out by a former, non-managerial SEA employee, Ms. Maria Kristina Fernando, during the ordinary course of business. The forms were then signed by Mr. Peter Kim based on his limited understanding that the CNT Form was merely to recommend, not mandate, a CNT for a particular lane to SM Line, as addressed during his sworn testimony. CX_003181, P. Kim Dep. Tr. 55:13-23; CX_004545-46. The CNT Forms were never presented to SEA as, or meant to be, legally binding contracts to fundamentally change the rights and obligations of inland transportation. They were filled out by Ms. Fernando of SEA on May 2, 2017, in response to SM Line employee Mr. Tianjin Li's request to do so just a day earlier. RX_0001598. Indeed, Mr. Li's request was clear: "Please complete and sign the attached *CNT form* for each location and send back to us so we can setup CNT in our system." RX_0001599 (emphasis added). Ms. Fernando also made clear she was merely returning a completed form with the requested information: "Here are the completed *CNT forms* for PBI and Gold Point." RX_0001598 (emphasis added).

Neither Mr. Li nor Ms. Fernando referred to those forms "as an agreement" or contract which fundamentally alter the obligations of SM Line as SM Line now wishes the Presiding Officer to believe, SM Line Br. at 7, let alone addressing how SM Line had the right to **retain**

super all in freight from the overseas manufacturers while delegating its risks and duties to SEA to complete its inland transport obligations and pay D&D. Further, the forms were signed by an operations person at SEA who lacked the requisite authority to execute contracts to bind SEA. SEA PFF ¶ 87.⁴² If the CNT Form was meant by SM Line to have binding, legal effect, the multi-step internal processes of SEA requires submitting the form “through legal and have a legal seal mark, and the legal team would have to approve . . . then secondly, it would have to have been signed by either an executive SEA, meaning VP level and above.” CX_002338, SEA 143(b)(6) Dep. Tr. 91:2-15. No such process took place at SEA, no effort to request evidence of authority to sign binding contracts was requested by SM Line, and the CNT Form cannot, therefore, bind SEA.

Further, assuming *arguendo* the CNT Form somehow required SM Line to use CNTs in 2017, such a mandate applied to just two CNT trucking companies (PBI and Gold Point) for specific, limited inland routes and expired by the end of that year. SM Line’s internal policy manual for CNT nominations expressly states “[p]lease note that CNT Approvals will only be valid for the life of the S/C. Once expired, CNTs will no longer be valid. A new request will be required when new service contracts are made to ensure that trucking costs are properly covered.” CX_005575 at CX_005579. Whatever service contract(s) were in place between SM Line and SEA’s foreign affiliate(s) in 2017, they expired by that year’s end as service contracts are only one-year long in duration. CX_000222, SM Line 143(b)(6) (Session II) Dep. Tr. 173:9-25. Thus, SM Line CNT Forms CX_004969-70 were not in effect during the Relevant Time Period.

⁴² CX_002337-38, SEA 143(b)(6) Dep. Tr. 90:22-91:11. *See also United States v. Marin*, 651 F.2d 24, 29 (1st Cir. 1981) (voiding a contract when the corporate officer “lacked authority to contract for the corporation”); *Brownell v. Tide Water Associated Oil Co.*, 121 F.2d 239, 243 (1st Cir. 1941) (connoting an employee cannot bind a corporation when such employee lacks authority); *Hilo Prods., Inc. v. Target Corp.*, Civ. No. 22-00069 SOM-WRP, 2022 WL 17541276, at *7 (D. Haw. May 6, 2022) (stating that reliance on a corporate official’s title alone is insufficient to show such official had authority to bind a corporation).

Indeed, **no other** CNT Form (or its equivalent) for the Relevant Time Period has been produced, even though the Service Contracts with Samsung entities that SM Line seeks to rely upon were entered into on a yearly basis. This is unsurprising given that during the Relevant Time Period, SM Line used many other CNTs proposed by SEA, which did not require a form like the CNT Form; these CNTs include (i) **Pacific Coast Transportation** (CX_000234, SM Line 143(b)(6) (Session II) Dep. Tr. 185:11-18); (ii) **Versa Enterprises** (CX_000234, SM Line 143(b)(6) (Session II) Dep. Tr. 185:11-18); (iii) **Spirit Transportation System** CX_000075-76, SM Line 143(b)(6) (Session I) Dep. Tr. 47:12-48:3; (iv) **Worldwide Logistics** (CX_004841, Solarez Dep. Ex. 19); and (v) **Frontier Logistics** (CX_004848, Askins Dep. Ex. 3).⁴³

SM Line recognizes that the CNT Forms are *undated* but contends that they should be deemed “valid for a reasonable time” or as long as “sixteen years” based on *Sanchez v. Department of Veterans Affairs*, 949 F.3d 734, 738 (Fed. Cir. 2020), SM Line Br. at 8. SM Line is wrong, and *Sanchez* is inapposite. There, the Federal Circuit Court of Appeals reviewed a petition by a former urologist with the Department of Veterans Affairs (“VA”) for review of a Merit Systems Protection Board decision finding that the VA did not breach a settlement agreement by failing to abide by its terms after 16 years. The settlement agreement there resolved the urologist’s whistleblower retaliation claim against the VA and was silent on the time limit. In affirming the Board’s decision, the court reasoned that 16 years was a reasonable amount of time for alleged hostilities by the VA against the urologist to dissipate. Here, the reasonable amount of time for the CNT Form – to the extent it was considered a valid agreement by the parties – is one year by SM Line’s own policy.

⁴³ CX_000215-17; CX_000219, SM Line 143(b)(6) (Session II) Dep. Tr. 166:5-8; 167:16-18; 168:9-14; 170:10-17; CX_000234-38, SM Line 143(b)(6) (Session II) Dep. Tr. 185:7-24; 187:4-16; 188:11-189:16; CX_004545-46.

Setting aside the evidentiary concerns above, the CNT Form unmistakably gives SM Line full authority to accept or reject a CNT, stating “SM Line [] will evaluate *whether to allow customer* to use the customer nominated trucker, referred to in this document as a Customer Nominated Trucker (CNT).” CX_004546, (emphasis added). In so doing, the CNT Form states that “SM Line Corporation will ... review the CNT’s insurance coverage, interchange agreements, rates and confirm whether the CNT meets SM Line’s contract requirements.” *Id.* The CNT Form does not refer to or address the Service Contracts or any other contracts between SM Line and foreign SEA entities. SM Line’s claimed requirement for CNTs usage remains unfounded.

(4) SEA’s Sporadic Inquiries as to SM Line’s Utilization of Truckers Does Not Establish SM Line’s Contractual Requirement to Employ Them

SM Line next contends that it was required to use SEA’s CNTs because “SEA employees impart[ed] directives and otherwise exercise[d] control over [] CNTs to handle the delivery of SEA cargo from the port to the end destination” and “[w]hen SM Line proposed using alternative truckers, SEA raised questions and pressured SM Line to use SEA’s CNT.” SM Line Br. at 6. Despite SM Line’s claim that “[t]he record is riddled with [such] examples,” it only cites to four specific proposed facts (RPFF ¶¶ 27, 28, 34, 35) or four emails. *Id.*; RX_0002925; RX_0003712; RX_0002935; RX_0002929.⁴⁴ But none support SM Line’s characterization of SEA’s customer-specific inquiries to ensure timely delivery of SEA cargo as “pressures” to use CNTs; nor do they relate to SM Line’s alleged contractual mandate to use CNTs.

First, RX_0002925 is an email exchange in January 2020 between Ms. Ji Young Kim (“Senior Professional/Marine Pricing Group (Pricing)/[REDACTED]”) and Mr. Dong Wook Kim

⁴⁴ SM Line has improperly used the same emails for multiple, wildly diverging “facts.” For instance, RX_0002925-26 (a 3-page, January 2020 email discussing SEA’s preference to use Gold Point as a CNT as opposed to UNIS, who has had performance issues in the past) is used for RPFF ¶¶ 27, 33-34. Likewise, RX_0003712-15 (email chain explaining UNIS’ prior performance issue) has been used to support RPFF ¶¶ 28, 35, 56.

(Assistant Manager) of SM Line. There, with respect to SEA shipments heading to Ontario, CA, Mr. Kim of SM Line was not interested in using a house trucker, but another CNT (named UNIS) as SEA's CNT "Gold Point was about \$70 higher than the UNIS based on the last year rate." For that reason, Mr. Kim requested that SM Line be able to "proceed with the bidding with multiple CNT options" (RX_0002926). In response, Ms. Kim confirmed that "SEA is requesting to proceed with Gold Point," sent "the warehouse CNT list for North America," and requested that "*if you find any problems, please share them with us.*" (RX_0002925-26 (emphasis added)). Ms. Kim simply confirmed SEA's preferred trucker request and asked SM Line to revert with any issues.

Second, RX_0003712 is an internal email exchange between Ms. Kim of [REDACTED] and Mr. JaeHwan Lee (Senior Manager, Inbound) of SEA, discussing the reasons for preferring to work with Gold Point as opposed to UNIS for SEA shipments to Ontario, CA, which include:

- "Poor communication in 2018 and 2019 [during which UNIS] Didn't answer phone or email in timely manner";
- "Contingent capacity concerns" where UNIS would inform SEA that "it is unlikely" that "all the loads at the port" will be "delivered by" a promised time and acknowledge that "this puts [UNIS] in a difficult position with [SEA]"; and
- "Insufficient cooperative attitude for empty sharing to prevent Bobtail."

(RX_0003712). SM Line omits these UNIS-specific reasons for SEA to request Gold Point as its CNT. Further, nowhere in this email chain does anyone SEA or Samsung state – explicitly or implicitly – that SM Line *must* use Gold Point simply because SEA recommended it. Indeed, Ms. Kim responded to Mr. Lee: "[I] will check it with SM [Line] and let you know." *Id.* The email chain only supports SEA's consistent position that it requests use of specific CNT(s), which SM Line ultimately vets, negotiates the rates and contracts with, employs, and manages.

Third, RX_00002935 is mischaracterized as support for its contention that during the Relevant Time Period, "SEA insist[ed] only us[ing] the CNT and not house trucker." RPFF ¶ 34.

This email exchange took place in April 2017 – just 3 months after SM Line was incorporated and almost 3 years prior to the start of the Relevant Time Period. Further, the email is internal to and amongst SM Line employees only; as such, it cannot show what, if anything, SEA sought.

Fourth, RX_0002929 does not show that “SM Line proposed to use alternative truckers” other than SEA’s CNTs, but rather “Mr. Tai Kim” of “Assistant Chief/Ocean Pricing Group” of “[REDACTED]” voluntarily requesting “the setup of Secondary CNT for the two [particular] BBY segments” “[d]ue to lack of truck capacity in the United States.” *Id.*

At most, these emails only show that SEA (or a different Samsung entity) was attentive to the carriage of its goods to ensure that they found their way to the right places and customers, alerted SM Line of certain customer-specific reasons for using CNTs and raised some related inquiries when appropriate. *Nowhere in these emails did SEA mandate use of CNTs*; to the contrary, SEA made CNT requests and answered questions SM Line raised. That SEA paid attention to the progress of CNTs or the performance of their tasks (as it has an interest in seeing a specific delivery being made as the consignee of the cargoes) does not change the fact that SM Line is the one that vetted the truckers, approved the truckers, contracted with the truckers, paid the truckers, and issued the work orders to the truckers, all under store door terms. PFF ¶¶ 50-55. Likewise, none of these emails change the fact SM Line ultimately approves the use of certain CNTs and is responsible for managing the CNTs’ performance.

(5) SEA Relied Upon SM Line to Manage Cargo Delivery on a Through Basis, and No Evidence Exists to Show That SEA Was “In Control Of” CNTs or that SM Line was Acting as SEA’s Agent in Managing CNTs

SM Line also contends, without evidentiary support, that “in case of *CNT door move*, the customer controls and manages the CNTs.” RPF ¶ 21, at 13 (emphasis added). Indeed, SM Line claims that it had no responsibility to manage CNTs, because in SM Line’s view, SEA “had the ultimate authority and control over the choices of which truckers to use and which not to use” and

“directly issued detailed instructions to its CNTs...bypassing [] SM Line” SM Line Br. at 6-7. In support, SM Line cites several emails, which tell a completely different story.

First, far from mandating certain CNTs, SEA merely nominated them; SM Line considered and approved their use only after doing its own due diligence.⁴⁵ For instance, RX_0001598 is a May 2017⁴⁶ email exchange between Mr. Tianjin Li of SM Line and Ms. Fernando of SEA, where SEA requested adding two CNTs for select direct ship locations. RX_0001600. In response, SM Line never once objected to their use or communicated concerns to SEA; to the contrary, Mr. Li of SM Line asked that Ms. Fernando “complete and sign the attached CNT form for each location and send back to us so we can set up CNT in our system,” which she did promptly. RX_0001598-99. Tellingly, Mr. Li made an internal report, noting that SEA “wants to *nominate* Gold Point to be their CNT to [certain] locations.” RX_0001598 (emphasis added).

Similarly, SM Line cites RX_0001023-26 as a support for “[REDACTED] instructing SM Line to substitute Regal to Polly Trans.” RPFF ¶ 54. This June 2020 email chain, however, is between SM Line and Ms. Kim Hyunh of “[REDACTED]” and there is no mention of “Regal” or any instruction to “substitute” any trucker. RX_0001023. Moreover, Ms. Hyunh asked SM Line: “Please advise *if* POLLY is accepted as CNT for th[ese] lanes” – which shows that the request was a nomination to be evaluated and accepted by SM Line, not a mandate. *Id.* (emphasis added). No evidence exists that SEA mandated use of a CNT.

Second, the fact that SEA or other Samsung entities communicated with terminals, with SM Line in copy, to assist SEA or its CNTs to retrieve overdue containers (RX_0001461), exempt

⁴⁵ CX_000225-27, SM Line 143(b)(6) (Session II) Dep. Tr. 176:6-178:6; CX_004848-60.

⁴⁶ The email exchange pre-dates the Relevant Time Period by 3 years with limited probative value in this dispute. Nonetheless, the substance of the email discussion shows that even in years before the Relevant Time Period, SEA has always been *requesting*, not *mandating*, use of certain CNTs to SM Line.

appointments (RX_0004143; RX_0001458), or clear certain demurrage charges (RX_0001539) so that SEA containers can be picked up and delivered does not in any way show that SEA took “control” over management of its CNTs. It instead shows how SM Line failed to “get the job done” despite SM Line’s promise of being a “Shipping Maestro.”

Third, SM Line distorts testimony of SEA employees Mr. Philip Goedinghaus (inbound coordinator) and Ms. Fernando to support its faulty narrative that “SEA has also ‘fired’ the CNT” for reasons of “loyalty” and “insufficient cooperative attitude.” To the contrary, Mr. Goedinghaus testified that SEA does not “fire” any CNTs:

Q. Has Samsung ever fired a CNT trucker?

A. Yes, but I don’t recall exactly the details of it.

Q. Does Samsung have the right to fire a house trucker?

A. No. And also fire is kind of the wrong term. I wouldn’t say that.

We don’t have any authority whatsoever to fire or hire anybody.

Q. Give me a word that you would use as a substitute for fire.

A. We cannot ***nominate*** them for the next process -- the next year, for the next quarter.

Q. But if it was a house trucker, only the ocean carrier can decide to remove a house trucker from handling a move?

A. In both cases, only the steamship line can make that case. We just give our nomination.

CX_002852, Goedinghaus Dep. Tr. 78:3-19 (emphasis added). Likewise, Ms. Fernando explained that it is SM Line, not SEA, that ultimately decides to employ and manage the CNTs:

Q. Can you explain to us what is a customer nominated trucker movement in your words?

A. Customer nominated trucker is a list of truckers we ***recommend***, the name of the truckers or a list of truckers to the steamship line that we preferred to move our loads locally.

Q. So it’s your understanding that with a CNT movement, it’s a preferred trucker or -- a preferred trucker, correct?

A. It is a preferred trucker of Samsung, but it’s still -- ***the final say is coming from the steamship line*** because they need to negotiate the rates.

Q. And you can't use a CNT trucker until they have been registered by accounting?

A. *We cannot use CNT until it was approved by the steamship line.*

CX_002981-82; CX_002996, Fernando Dep. Tr. 52:23-53:13; 67:15-19 (emphasis added). As discussed, *supra*, SEA's preference to work with Gold Point over UNIS had to do with its "[p]oor communication" and "capacity concerns." RX_0003712.

Fourth, contrary to SM Line's claim that SEA "bypass[ed]" SM Line in its communications with CNTs, RX_0003622 (SEA's April 2019 standing instruction to trucker Regal) copied both SM Line's Mr. Tianjin Li and Hajime Hirasawa (Import Doc) and RX_0004126 (SEA's February 2020 standing instruction to trucker PBI) also copied Ms. Andrea Askins of SM Line. Further, SEA-related witnesses confirmed that these instructions were boilerplate, standing instructions to all truckers and ocean carriers, not SM Line or a particular CNT. CX_003007-08; CX_003035, Fernando Dep. Tr. 78:20-79:5; 106:11-18 ("I [] send to everybody" "instructions [on] how we deliver to the customers"; "Basically, everything is general information"); RX_0000946, Huynh Dep. Tr. 97:16-18 (a CNT trucker has standing instructions).

The record evidence is clear: SEA nominated CNTs, and SM Line had the final say in approving the use of them. The fact that SEA communicated with CNTs or terminals, with SM Line in copy, to ensure timely and cost-effective delivery of SEA's shipments does not show that SEA somehow "controlled" CNTs. Indeed, as Ms. Fernando testified, the CNTs did not follow SEA's alleged "instructions." CX_003034, Fernando Dep. Tr. 105:18-22. Without any evidentiary support,⁴⁷ SM Line's argument that SEA somehow "controlled" or managed CNTs fails.

⁴⁷ SM Line cites to RPFF ¶ 35 to argue that "When SM Line attempted to use truckers other than SEA's CNTs, SEA *refused and imposed* its own choice." As shown above, however,

SEA was reliant on SM Line to do its job and handle the inland movement of its containers on store-door moves; SEA did not have operations capabilities to do so.⁴⁸ SEA did not have a trucking dispatch operation to arrange for pick-ups or drop offs of containers from marine or rail terminals. *Id.* Likewise, SEA did not have any agreements with rail or trucking companies to handle inland transportation.⁴⁹ And SEA does not have written transportation contracts with CNTs for the inland moves from the SM Line ports of discharge to SEA's customers or SEA's warehouses.⁵⁰ CX_002308-09; CX_002311, SEA 143(b)(6) Dep. Tr. 61:21-62:14; 64:10-22.

b) Responsibility to Manage, and Pay For D&D Flowing from Performance Failures of CNTs Rested with SM Line for Store-Door Moves

The record evidence establishes that a CNT is a trucker that a shipper or consignee may recommend to an ocean carrier to handle the inland transportation of cargo, which recommendation the ocean carrier was not required to honor. PFF ¶¶ 46, 47. In other words, SM Line is not required to use a CNT, and indeed, SM Line has denied SEA's request for a specific CNT on occasion. PFF ¶¶ 47, 54-55. Every CNT nominated by SEA and ultimately hired by SM Line for SEA's store door moves was vetted and approved by SM LINE. PFF ¶¶ 50, 53, 58. SM Line reviewed the trucker's safety records and its good standing, and if a CNT had been approved by SM Line, SM Line and the CNT would then enter into an agreement for transportation services. *Id.* The CNT approval and agreement process was SM Line driven. PFF ¶¶ 51-52, 58-59.

SM Line now pleads that the Presiding Officer set aside these facts and find that SEA should be responsible for CNTs' failure to perform because "[s]tore door move does not mean

RX_0003712 or RX_0002929 (cited as support for RPFF ¶ 35) does not refer to any refusal or imposition of any kind by SEA.

⁴⁸ CX_002360-62, SEA 143(b)(6) Dep. Tr. 113:5-115:14; CX_002680-81, Rapske Dep. Tr. 68:22-69:4.

⁴⁹ CX_002637, Rapske Dep. Tr. 25:8-16.

⁵⁰ CX_002989-90, Fernando Dep. Tr. 60:8-61:2; CX_002308-09, SEA 143(b)(6) Dep. Tr. 61:21-62:14.

carrier haulage.” SMLRPFF ¶ 21, p. 12. In SM Line’s view, “in case of carrier haulage, [SM Line] is typically responsible to manage and control and essentially be responsible for the in-land transportation service. However, in case of CNT door move, the customer controls and manages the CNTs, and is, therefore, is responsible for the said door move.” *Id.*

SM Line’s distinction between “carrier haulage” and “CNT door move” for the purposes of this litigation is nothing short of a radical departure from industry expectations and obligations. It also defies common sense, lacks any evidentiary support, and is otherwise divorced from commercial reasonableness. To the contrary, under store door terms moving under through bills of lading to the named place of delivery (*i.e.*, carrier haulage), SM Line remained liable for the acts and omissions of CNTs with respect to delivery of SEA containers for the inland movement. Even in cases where CNTs fell short of expectations on a particular shipment of containers, SM Line cannot shift that responsibility to manage delivery of SEA cargo simply because SM Line approved a CNT nominated by SEA; to the contrary, SM Line must engage, manage, and pay for any D&D charges in connection with alternative truckers to “get the job done”; SM Line holds itself out then and continues to today as a “Shipping Maestro” providing “first-rate service by integrating rail and truck transportation, distribution and warehousing in one place.”⁵¹ Unsurprisingly, neither the CNT Form, SEA’s internal training manual, SM Line’s tariff rules, nor the Service Contracts support such a dramatic unilateral shift in inland delivery responsibility.

(1) CNT Forms Did Not Shift to SEA Responsibility to Manage CNTs and Pay for D&D Charges in Connection Therewith

The CNT Forms were not perpetual contracts fundamentally changing SM Line’s transportation obligations for inland transport under through bills of lading, and to the extent they recommended CNTs, those recommendations pertained to two truckers on selected lanes in 2017.

⁵¹ https://www.smlines.com/en/inland_01.php (last accessed May 31, 2024).

The fundamental flaw in SM Lines' claim that the CNT Forms were contracts materially shifting SM Line's inland transportation obligations as the carrier under the through bills of lading to SEA as the consignee, ***is that such a contract would plainly violate the Harter Act.*** 46 U.S.C. § 30701 *et seq.* (commonly known as the Harter Act). The Harter Act governs inland portions of transport in connection with through bills of lading. *See, e.g., Allied Chem. Int'l Corp. v. Companhia de Navegacao Lloyd Brasileiro*, 775 F.2d 476, 482 (2d Cir. 1985) (noting that after the enacting of COGSA, "the Harter Act still governs prior to loading and after discharge of cargo until proper delivery is made." (citations omitted)). The Harter Act provides, in pertinent part, that:

A carrier ***may not insert in a bill of lading or shipping document a provision avoiding its liability for loss or damage arising from negligence or fault in loading, stowage, custody, care, or proper delivery. Any such provision is void.***

46 U.S.C. § 30704 (emphasis added). In *Allied Chemical*, the carrier claimed that provisions in its bill of lading absolved it from liability. One provision stated that "[t]he Carrier shall not be liable in any capacity whatsoever for any delay, non-delivery or mis-delivery, or loss of or damage to the goods occurring while the goods are not in the actual custody of the Carrier." 775 F.2d at 482. Another provision stated: "[t]he responsibility of the Carrier, in any capacity, shall altogether cease and the goods shall be considered to be delivered and at their own risk and expense in every respect when taken into the custody of customs or other authorities." *Id.* The Second Circuit's firmly disagreed: "Lloyd's reliance on these clauses is unavailing ***because they are null and void.***" *Id.*

Here, in order to accept SM Line's argument that the CNT Forms absolve SM Line of all responsibility or liability for the care, custody, expense, or proper delivery of SEA's cargo – which is the same argument SM Line advances in its reliance on its purported "Customer Nominated Trucker for Store Door Delivery" tariff rule discussed below – the Presiding Officer would have to sanction a purported contract in violation of the Harter Act, an outcome at odds with long-standing canons of contract law. *See, e.g., Atwood v. Fisk*, 101 Mass. 363, 364 (1869) ("[I]t has . .

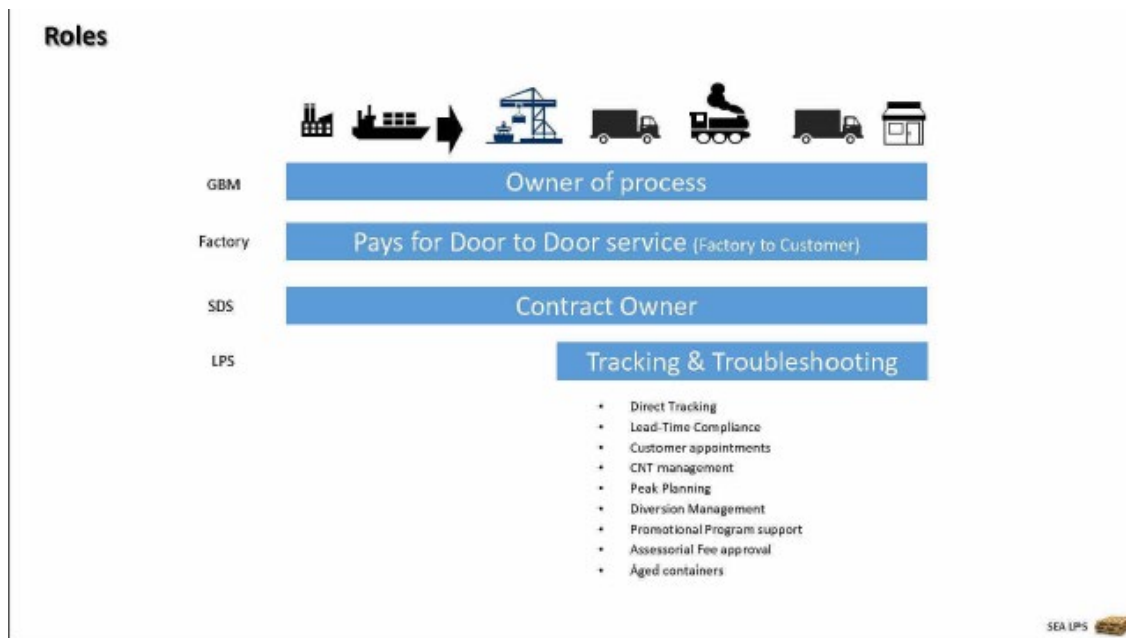
. long been settled that the law will not aid either party to an illegal contract to enforce it against the other, neither will it relieve a party to such a contract . . . who seeks to reclaim his money or whatever article of property he may have applied to such a purpose.”). For all these reasons, the CNT Forms do not absolve SM Line of its liability to SEA.

(2) SEA Internal Document – “Introduction to LPS Direct Ship” – Confirms SM Line’s Responsibility to Manage CNTs and Pay for D&D

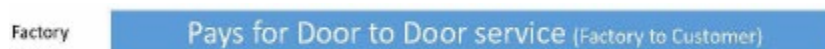
SM Line argues that SEA’s internal document – “Introduction to LPS Direct Ship” dated September 2019 (“Direct Ship Overview”)⁵² – acknowledged a distinction between what SM Line calls “CNT moves” (where, despite the door terms, SEA has responsibility to pay for D&D charges for merely recommending CNTs) and “standard door terms,” *i.e.*, carrier haulage. SM Line Br. at 5. No such distinction exists, and the Direct Ship Overview confirms to the contrary.

Consistent with SEA’s contention that under store door terms, SM Line remained responsible to manage CNTs and pay for any associated D&D charges therefrom, the Direct Ship Overview explains the benefits of Direct Ship as: “[t]o ensure that customer purchase orders depart from the *factory bypass our warehouses and deliver directly to customers in a timely manner.*” RX_0001194 (emphasis added). In this sense, the Direct Ship team at SEA “manages and monitors the progress of P[urchase] O[order]’s from production, trailer loading, factory departure, transit or movement, to final delivery.” *Id.* In other words, the Direct Ship team keeps an eye on SEA direct shipments to customers distribution centers and, as needed, “troubleshoot[.]” any issues. RX_0001195. This expectation and role of the Direct Ship team is summarized as follows:

⁵² The Direct Ship Overview is not a “manual” of any kind, but just an introductory overview of how the Direct Ship Operation works at LPS. RX_0001191-203.



Contrary to SM Line’s contention, the Direct Ship Overview makes it clear:



As such, the sole and exclusive responsibility to make sure that SEA shipments found their way in a timely and efficient manner from “Factory to Customer” rested with SM Line because that is the level of service SM Line was “Pa[id] for.” *Id.*

SM Line’s Brief focuses on a particular slide titled “Service overview CNT vs. House.” SM Line Br. at 5. SM Line insinuates by juxtaposing the relative differences between CNTs and house truckers, SEA has “acknowledged” the difference between CNT and standard door moves. *Id.* As shown above, however, no evidentiary support exists for such an arbitrary distinction, and the particular slide SM Line focused on also makes clear:

*Note: Samsung does not get involved with rate negotiation between [Steamship Line (“SSL”)] and trucking company because *everything is prepaid “Door to Door delivery”*⁵³

⁵³ SEA typically “introduce[s] SM Line and the [CNT], and they work out the details,” without “[SEA getting] involved.” CX_002848-49, Goedinghaus Dep. Tr. 74:24-75:23. Likewise, SEA does not know the “contract terms between [SM Line] and [the CNT].” CX_002848-49, Goedinghaus Dep. Tr., 74:24-75:23.

RX_0001199 (emphasis added). Having been paid for the “Door to Door delivery,”⁵⁴ SM Line should have managed CNTs and paid for D&D charges arising therefrom, and nothing in the Direct Ship Overview shifts that responsibility to SEA.

(3) SEA Did Not Approve All CNT-Related Invoices by SM Line, But Repeatedly Protested SM Line’s Unwillingness or Failure to Help Manage SEA Cargo Effectively

SM Line contends that “SEA’s practice was to approve all of the invoices issued by SM Line that related by [*sic*] CNT Shipments, but none of those that related to house truckers” and cites to RPF ¶¶ 98, 99. SM Line Br. at 6. But RPF ¶ 99 – “SEA never approved any invoices from SM Line’s House Trucker” – does not cite to any evidentiary support and, as such, lacks any credibility. And RPF ¶ 98 – “SEA consistently approved SM Line’s invoices” – cites to only 5 emails, which tell a different story. RX_0006327 is a June 2019 email, falling outside the Relevant Time Period. RX_0003615, RX_0001047, and RX_0003652 are email approvals for certain D&D charges in August/September 2020, July 2020, and November 2021. Three discrete approvals over a 14-month period do not show anything “consistent” about SEA’s approval behavior.

Tellingly, the fifth email, RX_0004224 is an email chain between May and August of 2022, where SEA had to protest, after SM Line’s unwillingness (or failure) to help move SEA cargo from rail to local delivery pile: “Can we get some sort of time line? also are we going to be responsible for any demm / dwelling fees in LA until this is taken care of? We can't operate without some sort of idea of how long it would take and how much it would cost.” RX_0004252. SM Line continued to fail to provide timely and effective assistance, so SEA had to protest yet again: “now

⁵⁴ The ocean freight charges, which SM Line negotiated with the foreign manufacturers, were for “super all-in” door moves, including “the ocean freight [charges] and the trucker and the railroad fees” as well as “other destination charges like terminal handling.” CX_002317-18, SEA 143(b)(6) Dep. Tr. 70:3-71:7.

you just confirmed we are responsible for the DEMM/DET without having a timeline we've now lost the ability to make the most economical decision for our company....We are trying to work with you guys to get this headache taken care of In the future we will make sure to work within your designated timeline to avoid this in the future." RX_0004250. SM Line's failure continued, leading SEA's "[Direct Ship] Team will take over these loads and we are going to move it and take ownership." RX_0004224. No evidentiary support exists – as there is none – that SEA acknowledged that it was responsible for and, therefore, approved D&D charges related to CNTs.

(4) SM Line's Tariff Rule was Not Incorporated into Sea Waybills or Service Contracts and Did Not Otherwise Change SM Line's Responsibility to Manage CNTs

SM Line claims without any analysis that "SM Line's tariff rule 'Customer Nominated Trucker for Store Door Delivery' [was] incorporated in the [S]ervice [C]ontracts" as well as "SM Line sea waybills." RPFF ¶ 36; SM Line Br. at 8. SM Line then cites the languages from its tariff rule (CX_004483-84) and its own website page, where the tariff rule "was publicly available." RPFF ¶ 38. But there is no support in law or fact for SM Line's newly minted litigation position.

Indeed, there is no direct reference to SM Line's "Customer Nominated Trucker for Store Door Delivery" tariff rule in any of the Service Contracts. Likewise, there is no direct incorporation of the bill of lading terms and conditions in any of the Service Contracts. SM Line's tariff rule on CNTs (SMLM – 700- 2-X6) is not signed or acknowledged by SEA, and it is not expressly agreed to or incorporated into any documents signed by SEA or any of its foreign entities. CX_000213-15, SM Line 143(b)(6) (Session II) Dep. Tr. 164:24-166:3; RX_0002768; RX_0002813.

(5) Service Contracts are Not Applicable and Even if They Were, they Did Not Disturb SM Line's Responsibility under Store Door Terms to Manage CNTs and Pay for D&D Charges

The motive behind SM Line's driving customers to use CNTs on door moves is clear: SM Line considers itself no longer acting as "the middleman between the trucker and the consignee."

CX_001194, Solarez Dep. Tr. 125:13-15. SM Line prefers to have the CNT and the end-customer communicate directly, “reduc[ing] the stress and workload [on SM Line] versus a house trucker move,” believing in their flawed understanding of a non-existent distinction between CNT and “standard” door moves. CX_001194-95, Solarez Dep. Tr. 125:10-126:4; 126:14-17. To justify this fictitious distinction, SM Line argues that its CNT tariff rule has been incorporated into the Service Contracts. SM Line Br. at 7-8; RPFF ¶ 21. But the Service Contracts say otherwise.

The first service agreement to address CNTs was between SM Line and “[REDACTED]” dated January 1, 2019, which was then extended through 2020 by the “First Supplemental Agreement to Service Agreement” dated January 1, 2020 (“[REDACTED] Service Agreement”). That service agreement provided in no uncertain terms: “Carrier is required to provide local delivery service with consignee’s preferred trucker, if any. *CNT for door delivery is treated as the servant of Carrier.* (CNT = Customer Nominated Trucker).” RX_0002702, section 4.2.14 (emphasis added); CX_005701, (2020, signed by SM Line). As such, to the extent that the [REDACTED] Service Agreement is to be given any evidentiary weight and relevant to this dispute at all, it is clear that SM Line was responsible for managing CNTs and paying for any D&D charges arising from their performance.

SM Line’s proffered Service Contracts for 2020 or 2021 do not even mention CNTs at all.⁵⁵ The first appearance of SM Line’s CNT tariff rule language is in connection with SM Line’s proffered 2022 versions. RX_0002385, RX_0004160; RX_0004563. In regard to the 2022 version, well-established canons of contract interpretation do not favor the interpretation that SM Line

⁵⁵ RX_0004485 - 2020 contract with Logitech (also duplicated at RX_0002318); RX_0004502 - 2021 contract with [REDACTED] (also duplicated at RX_0002352); RX_0004519 - 2020 contract with [REDACTED] (also duplicated at RX_0002637); RX_0004542 - 2021 contract with [REDACTED] (also duplicated at RX_0002660)

gives them. SM Line’s argument that it was required to use the CNTs that SEA recommended, which, in turn, shifted responsibility for managing the inland transportation of cargo from SM Line to SEA, is neither commercially reasonable nor in accordance with the reasonable expectations of the parties. *See* 28 N.Y. PRAC., CONTRACT LAW § 10:5 (contract must be construed in a commercially reasonable manner and in accordance with the parties’ reasonable expectations).

Moreover, SM Line’s interpretation of the 2022 Service Contracts as shifting responsibility for inland transportation to SEA where a CNT is used would have the absurd result of absolving SM Line of the very obligations to manage inland transportation that it, and any other ocean carrier, agrees to assume under store door moves.⁵⁶ SM Line’s attempts to rely on Service Contracts or any related defenses fail not only because contracts rights are not defenses to Shipping Act violations,⁵⁷ but more fundamentally because SM Line’s surreptitious, unilateral transfer of its

⁵⁶ *See id.* (a contract should be construed to avoid absurd consequences); *see also, infra*, [38, 39, 47-48]; *D.F. Young, Inc. v. NYK Line (N. Am.) Inc.*, FMC Dkt. No. 16-02, 2017 WL 3382690, at *18 (ALJ Aug. 1, 2017) (tariff that is ambiguous in any sense must be construed against carrier that issued tariff); *S.A. Chiarella v. Pacon Express Inc.*, FMC Dkt. No. 1842(I), 2001 WL 1085424, at *3 (FMC Aug. 15, 2001) (“[T]ariff interpretation is governed by the express language of the tariff, not the unexpressed intent of the author . . . Even if the tariff were ambiguous in any sense, a tariff’s ambiguity should be construed against the carrier which developed it, not against the carrier’s customer.”); *Stevens Shipping & Terminal Co. v. S. Carolina State Ports Auth.*, FMC Dkt. No. 83-44, 1985 WL 148945, at *2 (FMC Dec. 27, 1985) (holding that tariff provisions that attempted to exculpate terminal operator from liability for own negligence were unreasonable); *Wilmington Stevedores, Inc. v. Port of Wilmington, Del.*, FMC Dkt. No. 83-41, 1985 WL 148959, at *9 (ALJ Feb. 13, 1985) (holding tariff provision unlawful insofar as provision relieved tariff issuer from its own negligence); *W. Gulf Maritime Ass’n v. City of Galveston*, 22 F.M.C. 101 (1970) (holding that tariff containing indemnification requirement that would relieve issuer of liability for its own negligence was an unreasonable practice); *United States v. Atlantic Mut. Ins. Co.*, 343 U.S. 236, 239 (1952) (“There is a general rule of law that common carriers cannot stipulate for immunity from their own or their agents’ negligence.”).

⁵⁷ *OJ Com., LLC v. Hamburg Sudamerikanische Dampfschiffahrts Gesellschaft A/S & Co. KG & Hamburg Sud N. Am., Inc.*, FMC Dkt. No. 21-11, 2023 WL 3969857, at *47 (ALJ June 7, 2023) (“Many of the points made by Hamburg may be relevant were this a breach of contract claim, but this is not. This proceeding addresses violations of the Shipping Act.”).

CNT management and payment obligations through its CNT tariff rule, which SM Line contends is incorporated by reference into the Service Contracts, is itself unreasonable, unjust, and violative of the Shipping Act as SM Line is responsible as the common carrier for the integrated inland movement of the cargo under store door terms, regardless of use of CNTs.

7. SM Line Fails to Refute its Rail Storage Charge Practices Were Unreasonable

SEA's Opening Brief established that SM Line refused to waive charges when SEA's cargo was not actually available for pick up at the railroad. SEA's Opening Br. at 45-47. Beginning in 2021, SM Line began shifting its common carrier obligations to SEA, which resulted in SEA paying approximately \$2 million in rail storage charges. In a store door move, railroad delivery fees are included in the ocean freight rates, and the railroad is a subcontractor of SM Line. SMLRPFF ¶¶ 28, 131. But only SM Line has the power to negotiate waiver of rail storage charges with the railroad, its contractual counterparty. SMLRPFF ¶¶ 130, 143, 145 (admitting that SM Line negotiated a cap on rail storage charges).

SM Line does not address, nor does it attempt to refute, its practices and policies related to railroads. SM Line only addresses its railroad practices in its reply to SEA's PFF where without any citation to the record or case law it simply denies the amount of detention charges incurred by SEA. SMLRPFF ¶ 344. SM Line does not refute that container volumes at the railhead and resulting delays were severe resulting in accumulating rail storage charges. SMLRPFF ¶ 143. Nor does SM Line deny that it refused to waive rail storage charges, even when rail storage charges were due to congestion or chassis shortages at the rail terminal. SMLRPFF ¶¶ 150-51. The evidence clearly establishes that SM Line's practices and procedures related to railroads were unreasonable in violation of the Shipping Act – a conclusion SM Line's Brief fails to rebut.

8. SM Line Fails to Refute that it Failed to Designate Adequate Return Locations or Implement Appropriate Policies to Handle Empty Returns

SEA's Opening Brief provided evidence that SM Line had an obligation to provide empty return locations for its equipment. SEA's Opening Br. at 47-48. The record establishes that SM Line failed to maintain reasonable practices and procedures related to equipment return, and that SM Line failed designate adequate return locations, only designating one location in Los Angeles and Long Beach. PFF ¶ 122. As result of SM Line's practices, SEA incurred approximately \$1.3 million in charges. PFF ¶¶ 361-62, 122. Faced with the indisputable evidence establishing SM Line's Shipping Act violations related to equipment return, SM Line does not address or attempt to refute that its practices were unreasonable.

SM Line only acknowledges its equipment return practices in its reply to SEA's PFF, where it denies the amount of detention charges incurred by SEA – without *any* citation to the record whatsoever. SMLRPFF ¶¶ 361-62. Further, SM Line's reply to SEA's PFF also fails to dispute the evidence established. For example, in PFF ¶ 122, SM Line fails to refute that it refused to waive detention charges even when the terminal was not accepting equipment returns at all. CX_004869-70; CX_001479-81, Askins Dep. Tr. 184:18-186:2. There, SEA cites to the testimony of multiple SM Line employees – Joan Gaston, Christopher Solarez, and Andrea Askins – and an email communication clearly evidencing SM Line's unreasonable practices. SM Line only attempts to refute the testimony of Ms. Askins, arguing that the testimony had been mischaracterized. SMLRPFF ¶ 122. However, the testimony SM Line cites in support of this assertion does not refute that SM Line's practices related to equipment return were unreasonable, nor does it refute the testimony of Ms. Gaston or Mr. Solarez. The evidence clearly establishes that SM Line's practices and procedures related to equipment return were unreasonable in violation of the Shipping Act. SM Line's Brief has failed to refute the evidence established in the record.

9. SEA has Demonstrated that SM Line's Shipping Act Violations are the Proximate Cause of SEA's Damages/Losses

In Section 41102(c) causes of action, the complainant must prove its case by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.155; *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Dkt. No. 08-03, 2014 WL 9966245, at *15 (FMC Dec. 17, 2014). Under the preponderance standard, a complainant must show that their allegations are more probable than not. *Crocus Invs., LLC v. Marine Transp. Logistics, Inc.*, FMC Dkt. No. 15-04, 2021 WL 3732849, at *3 (FMC Aug. 18, 2021).

SM Line asserts that SEA cannot prove entitlement to reparations SM Line knows exist because SEA does not subject each of the 18,186 charges to individual analysis to test its proximate cause. SM Line Br. at 9-10. SM Line argues this under the guise of necessary “charge-by-charge” or “shipment-by-shipment” analysis. *Id.* But SM Line's position lacks any legal or factual basis.

Here (and as discussed more fully below), there are no issues with the ability to calculate the damages on a shipment-by-shipments basis, since the losses were calculated on that basis. The only issue is whether the liability requires a shipment-by-shipment analysis. But in this case, SM Line's conduct did not differ on a shipment-by-shipment basis; rather, ***SM Line's derogation of its duties on store door moves and indiscriminate D&D charging conduct and practices applied categorically and systematically to all SEA shipments.*** For example, as discussed above, SM Line categorically treated store door moves with CNT truckers as similar to CY moves, and as a result charged all D&D costs to the consignee by default. There is no evidence that SM Line's conduct with respect to D&D was applied differently in similar situations. To the contrary, SM Line's wrongful conduct was consistent. As a result, SEA's treatment of groups of charge types that were accorded similarly wrongful treatment as a matter of SM Line's practices, achieves the same

purpose of a “shipment-by-shipment” analysis. As to SM Line’s generalized assertion of SEA potential responsibility, if it has justifications for its conduct, SM Line has failed to show them.

We now know that SM Line internally attempted to evaluate individual charges at issue on a “charge-by-charge” basis, having commenced the internal analysis described in SEA’s Opening Brief as the “D&D Responsibility Report” that SM Line is now calling a “stress test” analysis. SEA’s Opening Br. at 32-35; SM Line Br. at 11-13. SM Line devotes several pages of its brief attempting to explain away its “stress test” analysis as “incomplete,” based only “on the emails that were available to [SM Line],” and that SM Line’s corporate representative “could not speak to the accuracy” of its internal work product. SM Line Br. at 12. As a result, and “in part due to the timing and limited circumstances in which it was created,” SM Line argues that some of the categorization of the charges and findings therein should not be interpreted as admissions or be given weight with respect to whether “all of the charges that SEA paid to SM Line” are unreasonable. *Id.* at 13. SM Line’s attempt to distance itself from the “stress test” fails.

First, SM Line implicitly concedes that its effort to evaluate charges and categorize responsibility did in fact identify categories “that were clearly tied” to SM Line issues. SM Line Br. at 12-13 (asserting that “it is true” that certain categories were “clearly tied” to operational issues, though citing only categories purportedly tied to *Samsung* operational issues). But SM Line does not rebut any of the similar categories identified in SEA’s Opening Brief that were similarly “clearly tied” to *SM Line* operational issues, *e.g.*, categorized as “Port Congestion” and “Chassis Shortage,” that comprised 29% of the collected amounts (about \$2 million) of the total charges SM Line evaluated. SEA’s Opening Br. at 33-34. Nor does SM Line contest that the items it categorized as “Warehouse Issue” and “Samsung Operation Issue” accounted for a tiny fraction of the collected amounts evaluated – just 0.12% of the total. *Id.* at 34.

Second, SM Line’s assertion that charges categorized as “No Reply” and “No Explanation from Samsung,” which comprised 36% of the collected amounts (about \$2.34 million) of the total charges SM Line evaluated, “cannot be interpreted as being admissions by SM Line of anything” misses the point that they show that SM Line knew that cargo was not being moved within free time, and that SM Line was not itself taking responsibility to move the cargo, but instead was pushing responsibility to the consignee. SM Line Br. at 12-13; SEA’s Opening Br. at 34.

Third, SM Line’s failure to identify any evidence for 23% of the charges evaluated (over \$1.5 million of the \$6.5 million evaluated), is plainly not a defense. SM Line argues that the evaluation was purportedly “incomplete” when created on April 27, 2023, before “SM Line then spent weeks gathering documents and communications relative to the allegations made by SEA.” SM Line Br. at 12. But SM Line’s failure to categorize or identify evidence justifying a reasonable basis for assessing inland transportation charges on SEA on the basis of its own documents and communications is probative as to SM Line’s inability to point to such evidence then, or since.

Nor was the “stress test” evaluation dated April 27, 2023, actually “completed” before SM Line conducted its internal document review. The version of the report appearing at CX_004714 – which was the subject of SM Line’s failed effort to assert privilege and/or work product protection after SM Line claimed that it had been inadvertently produced – was created on April 27, 2023, per the metadata associated with the file. Normally one may not know whether SM Line continued work on a purportedly privileged “stress test” after the date of the version allegedly inadvertently produced. However, ***SM Line in fact produced an updated version of the stress test***, appearing at CX_004715, showing that SM Line continued and expanded the evaluation, which the metadata associated with the file indicates was last modified on June 30, 2023. *See also*, K.K.

Choi Dep. Tr. 274:17-279:25 (authenticating the file as a continuation of the evaluation). Thus, SM Line continued the “stress test” well after SM Line continued its collection of documents here.

In sum, SM Line’s effort to distance itself from its internal evaluation of payments received from SEA is not compelling. It is not surprising that SM Line does not like that allegedly privileged work product was made public because of lax safeguarding of it. But it is also not surprising that an internal evaluation specifically undertaken in response to the charges and payments as issue in this proceeding would have relevant information and probative value.

SM Line does not contest that the evaluation – by whatever name – was undertaken, SM Line concedes that certain specific categorizations are tied to operational responsibility, and SM Line misrepresents that it was “incomplete,” because the initial version was created before SM Line “then spent weeks gathering documents and communications,” when in fact SM Line continued the evaluation for at least two more months after that, based on the updated date of the expanded version it also produced. When or even whether SM Line ultimately “completed” its evaluation is beside the point: SM Line started it, reported findings largely not helpful to SM Line’s defenses, and even after its search and collection of responsive communications, if it had evidence justifying charging the consignee for inland changes under through bills based on any “charge-by-charge” circumstances, it could have provided that evidence in its defense. It did not.

D. SM LINE INVOICES VIOLATED OSRA’S INVOICING WITHOUT REQUIRED INFORMATION GUARD POSTS PER 46 U.S.C. § 41104(A)(15)

SM Line does not dispute that the representative sample of SM Line invoices did not include the mandatory minimum information required by OSRA. SMLRPFF ¶ 227. Instead, SM Line’s main response is that the invoices issued during the transition period passed the most basic level of acceptability. This does not excuse SM Line’s failure to comply with OSRA. SM Line ignores the requirement that FMC regulations mandated invoice requirements to go into immediate

effect on June 16, 2022.⁵⁸ The FMC made clear that there “is no phase period for this provision of law.” *Id.* Nor does it excuse SM Line’s continued inability to meet OSRA invoicing requirements approximately 100 days later. *See, e.g.*, CX_004862; CX_005600.

E. SM LINE INVOICES VIOLATED OSRA WITH INCLUSION OF UNREASONABLE CHARGES UNDER 46 U.S.C. § 41104(A)(14)

SM Line’s Brief does not acknowledge or address SEA’s contention that SM Line violated 46 U.S.C. § 41104(A)(14) of the Shipping Act. In SEA’s Opening Brief, SEA established evidence that SM Line’s policy and practice of assessing D&D charges for store door moves were also in violation of Section 41104(a)(14) because SM Line was responsible for inland transportation charges, including D&D charges except in limited circumstances where SEA was directly responsible for the charges. The evidence shows SM Line assessed D&D charges against SEA regardless of actual liability and it failed to refute that “the common carrier’s performance did not cause or contribute to the underlying invoiced charges.” 46 U.S.C. § 41104(d)(2)(M).

V. SEA IS ENTITLED TO DAMAGES AS IT MUST BE REPAYED FOR THE D&D CHARGES IT WAS FORCED TO PAY AND OTHER COSTS INCURRED

Two separate burdens of proof govern SEA’s claims: (1) SEA’s burden to establish that SM Line is liable to SEA on SEA’s claims; and (2) SEA’s burden to prove its damages arising from SM Line’s liability. SM Line’s Brief wrongly conflates the two issues. Concerning the former, when SM Line claims that SEA has not met its burden to prove that SM Line is liable to SEA on SEA’s claims, pp. 6-51 of SEA’s Opening Brief and the initial burdens section here, pp. 6-10, show otherwise. Concerning the latter, SEA shows how it met its burden of proof below.

⁵⁸ <https://www.fmc.gov/industry-advisory-demurrage-detention-billing-practices/> (last visited June 5, 2024).

A. SEA has Met its Burden of Proof Establishing its Damages

When SM Line contends that SEA must prove its damages for “each one of [its containers] and for each day in which the unreasonable charges were unreasonably levied,” SM Line Br. at 9 (citation omitted), such a contention is meritless for the reasons herein.

1. The SEA payment data was produced during discovery, assessed during SEA witness testimony, and verified by a damages forensic accountant expert

In the damages section of SEA’s Opening Brief (pages 51-80), SEA provided a highly detailed and well-supported recitation of its losses in connection with the SEA containers. The extensive factual information on SEA’s damages, including bill of lading numbers, container numbers, dates, amounts paid, locations, charge types, and on and on, was both produced in detailed records in the document production and was the principal subject of the expert report of Mr. Gregory Smith, a CPA with over thirty years of accounting, consulting, and business experience. PFF ¶ 326. As discussed in detail in SEA’s Opening Brief, Mr. Smith reviewed and assessed multiple layers of materials that supported SEA’s claims:

First, Mr. Smith reviewed SEA’s storage of and gathering of relevant financial data. SEA’s Opening Br. at 55. SEA’s records with respect to its claims were preserved on its “Barracuda” data storage system. PFF ¶ 335; CX_002729-30, Rapske Dep. Tr. 117:23-118:11 (emphasis added). Mr. Smith further explained that SEA’s SAP system is a commonly-accepted business platform to be used in managing accounting and logistics for businesses (amongst other functions). PFF ¶ 336.

Second, Mr. Smith investigated SEA’s financial data (SEA’s Opening Br. at 55), meeting multiple times with SEA personnel to review charges payments in SEA’s SAP system. PFF ¶ 331.

Third, he performed multiple quality control checks on the damages data that he received from SEA. SEA’s Opening Br. at 56. These checks were performed on numerous random container claims to confirm that SEA’s damages claims were supported by the claims documentation

actually present in SEA's SAP system. PFF ¶ 339. Mr. Smith provided examples in his expert report of these quality control checks that he performed. PFF ¶ 346.

Fourth, having conducted these actions, Mr. Smith opined that “the charge data produced by SEA provides a sound basis from which to compute direct damages in this matter.” PFF ¶ 346.

After taking these steps, Mr. Smith performed his calculations with respect to SEA's damages claims. That process resulted in Exhibit 1 to Mr. Smith's report, which totals 424 single-spaced pages and identifies every charge incurred by SEA for which it seeks to recover. *See* CX_005012-435. The record reflects that during his deposition Mr. Smith was not even questioned on Exhibit 1 to his report by SM Line. *See generally* CX_004123-290.

2. SM Line's FMC damages burden of proof precedent is misapplied

SM Line cites three decisions to purportedly support its position that SEA did not meet its burden of proof to show that SM Line imposed unreasonable charges on SEA. The first decision, *Kobel v. Hapag-Lloyd A.G.*, FMC Docket No. 10-06, 2014 WL 5316331 (ALJ July 30, 2014), is cited for the accepted proposition that “SEA ha[s] the burden of proving that they were entitled to reparations.” SM Line Br. at 9 (citing *Kobel*, 2014 WL 5316331, at *13). The other two decisions, *Rose International, Inc. v. Overseas Moving Network International, Ltd.*, FMC Docket No. 96-05, 2001 WL 865708 (FMC June 7, 2001), and *Hapag Possible Violations* are inapposite to SEA.

In *Rose International*, the complainant Rose sought to prove its lost profits damages by introducing “profit and loss statements and journal entries” (which it claimed showed Rose's profit on each shipment), using these figures to “calculate[] its damages on a per container basis,” and then multiplied the per container figures against all container traffic that the respondents handled during the disputed period. *Id.* at *67. The respondents contended that Rose's lost profits damages claim was erroneous as it “assume[d], without any testimony, affidavits or other record evidence,”

that Rose would have handled all of the container traffic that the respondents handled during the disputed period. *Id.* at *68. Respondents pointed to the testimony of Rose’s own president to demonstrate that Rose had several other competitors against which it was competing for the business at issue. *Id.* at *69. Respondents also claimed that Rose’s lost profits damages claim used a gross revenue figure without consideration of the operating costs that would have been incurred in the operations that Rose claimed it had been deprived of conducting. *Id.* at *68. Respondents further contended that Rose lacked actual container figures for certain periods of time (as Rose’s journal entries did not cover certain portions of the disputed time period), hence Rose was “just guessing at figures” and the Commission could not verify Rose’s damages claims. *Id.*

Rose also asserted a lost business growth opportunity, again using the container data that it had on hand to show a pattern of increasing container business and arguing that this growing volume of containers handled was stunted by the respondents’ improper actions. *Id.* at *71. Respondents claimed that Rose’s damages claim for lost growth was speculative, that Rose’s president’s 200% annual growth rate “was simply ‘made up,’” and that Rose sought to merely pile further imagined container shipments over the ones that it had overestimated in its lost profits damages claim. *Id.* (Rose’s president had “testified that he just picked the growth rates for 1995, 1996, and 1997 arbitrarily because he believed he could not claim a 200% growth rate for all four years and have it be believable.” *Id.* at *17.)

In examining the evidence that Rose proffered to prove its damages, the Commission on appeal agreed with the ALJ that Rose had failed to prove its damages, holding “Rose’s evidence is lacking.” *Id.* at *77. The Commission faulted Rose’s use of gross profits as a damages figure without considering overhead expenses such as “payroll taxes, travel and selling, insurance, telephone, utilities, hospitalization, office and stationary, legal and accounting, postage, dues and

subscriptions, auto expenses, copier leasing and back charges” into an actual net profit figure. *Id.* The Commission then noted that “Rose has failed to provide any lost profit calculations that account for its variable costs for the shipments at issue, even though evidence of such variable costs could only be provided by Rose.” *Id.* at *78. It further observed that “[i]n fact, it is entirely possible that Rose made no overall net profit for the relevant period.” *Id.* Because of these shortcomings in Rose’s lost profits evidence, the Commission found that “Rose’s per container profit calculations are unreliable and do not prove Rose’s losses with ‘reasonable certainty.’” *Id.*

The Commission also agreed with the ALJ “that Rose had failed to properly consider competition and other market factors in its analysis of lost profits,” *id.*, as competition is a factor that is required to be addressed with respect to a party’s lost profits claim. *Id.* (citing *Prudential Lines, Inc. v. Farrell Lines, Inc.*, 22 S.R.R. 1054, 1058 (1984)). While Rose had assumed that would-be customers would have used its services but for the respondents’ claimed unlawful activities, “there [was] no proof in the record that Rose would have carried this cargo except for the fact that Rose carried cargo for those four customers in the years before 1994 . . .” *Id.* This limited evidence was insufficient to prove Rose’s damages, as Rose “fail[ed] to review the market during the period of Respondents’ infractions and thus never directly consider[ed] the potential impact of such competition on lost profits.” *Id.*

Yet another deficiency identified by the Commission in Rose’s lost profits damages evidence was that Rose failed to provide expert testimony to analyze its profit/loss statements or to support its lost profits damages claim. *Id.* at *79. The Commission noted past precedent that “a complainant that has relied on its president to supply the evidence of damages via a damages summary, even though supported somewhat by additional evidence, was ‘an unconvincing basis upon which to award damages.’” *Id.* (quoting *Cal. Shipping Line, Inc. v. Yangming Marine Transp.*

Corp., FMC Dkt. No. 88-15, 1990 WL 427466, at *24 (FMC Oct. 19, 1990)). Accordingly, the Commission concluded that “[w]ithout any objective analysis of the otherwise unconvincing evidence presented by Rose, the conclusions drawn from that evidence provide a thoroughly inadequate basis upon which to award damages.” *Id.*

Similarly, the Commission rejected Rose’s lost business growth claim, observing that Rose’s president himself agreed that his prognostications of future business growth were “essentially ‘made up.’” *Id.* at *80. Having identified these shortcomings in the complainant’s submission, the ALJ correctly denied (and the Commission affirmed) Rose’s damages claim as Rose had not provided any competent evidence of actual loss. SM Line **does not explain** with any detail how the paucity of evidence proffered by Rose is analogous to SEA’s extensive submission.

Finally, SM Line cites to the *Hapag Possible Violations* decision to suggest that SEA must provide independent evidence to demonstrate that each of **SEA’s 18,000+** charges on the 7,000+ containers at issue here are unreasonable. *See* SM Line Br. at 9 (stating that “SEA, however, appears to ignore that the FMC Office of Administrative Judges has interpreted this requirement [that the complainant prove its damages with competent evidence that it sustained actual loss or injury] to mean that the Claimant has the burden to prove by a preponderance of the evidence that **all** of the charges were unreasonable”) (emphasis in original) (citing *Hapag Possible Violations*, 2022 WL 1239377, at *2). The April 2022 *Hapag Possible Violations* decision involved consideration of charges assessed on a total of **11 containers**. *See* 2022 WL 1239377, at *2. More importantly, Chief Judge Wirth’s comments do not relate to evidence of damages but whether the “detention charges for these eleven containers were unreasonable.” *Id.* In other words, the ruling in the *Hapag Possible Violations* decision related to whether the BOE, seeking to assess civil penalties (not damages) to Hapag for violations of the Shipping Act, had shown that the ocean

carrier’s demurrage charges were unreasonable. *Id.* (noting that BOE had not shown “by a preponderance of the evidence that ***all*** of the detention charges for these eleven containers were unreasonable.”) (emphasis in original). It had nothing to do with BOE proving the ***quantum of its damages*** for each container. *See id.* at *34 (reciting statutory penalties for Shipping Act violations). In other words, unlike in this dispute, where SEA seeks to be reimbursed for charges that it paid that it claims should have been paid by SM Line, the damages sought in the Hapag Possible Violations case had nothing to do with the type of damages sought by SEA here. Furthermore, as “[c]ivil penalties are punitive in nature,” the court was required to “weigh[] and balanc[e] eight factors set forth in law” – a completely different legal standard and process from the damages analysis to be employed in this dispute. *Id.* at *35. So while, the *Hapag Possible Violations* decision provides on-point guidance regarding SM Line’s Shipping Act violation, it is inapposite as precedent for determining SEA’s burden of proof as to its reparations claims.

An assessment of June 2023 decision by ALJ Wirth (*i.e.*, approximately 15 months after the *Hapag Possible Violations* decision) demonstrates that SM Line has applied the *Hapag Possible Violations* decision erroneously. SM Line’s argument (suggesting that SEA has not sufficiently supported its damages claim by failing to provide particularized evidence for each container) is akin to the unsuccessful argument made by the respondent ocean carriers in *OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG & Hamburg Sud North America, Inc.*, FMC Docket No. 21-11, 2023 WL 3969857 (ALJ June 7, 2023). In *OJ Commerce* the complainant OJ Commerce (“OJC”) claimed that the respondents (collectively “Hamburg”) refused to deal and retaliated against OJC. *Id.* at *1. Amongst other defenses, Hamburg contended that “OJC fail[ed] to prove damages with reasonable certainty.” *Id.*

OJC's damages were broken down into several separate categories. Amongst those categories, OJC claimed that it was entitled to damages because (1) Hamburg missed its minimum carrier volume by 15 containers during the contract period 2020-21, and (2) Hamburg failed to carry containers for OJC during the 2021-22 period. *Id.* at *2. Chief Judge Wirth found that OJC had established violations of the Shipping Act, *see id.* at *37, *39, then turned to address OJC's damages. OJC's expert provided lost profits damage with respect to the 15 containers that Hamburg failed to carry during the 2020-21 period. The OJC expert concluded that the anticipated average net profit per container during this contract service period was \$22,892.48 and, by multiplying this figure by 15, determined that OJC's damages on this claim was \$343,387.18. *Id.* at *44. To reach the average net profit figure, OJC compiled this figure "based on actual products shipped and the selling price of the products; and average profit per container based on the same containers used that that [sic] were used for the average revenue calculation, and taking revenue less costs of the product." *Id.* at *45. To reach these figures, the OJC expert captured the various costs associated with the production and transportation of the goods. *Id.* Of particular relevance to this dispute is Hamburg's objection to the OJC expert's damages analysis:

Hamburg disputes both [damages] averages and contends that [OJC's expert] *did not do anything to substantiate these numbers – he did not review, and OJC refused to produce – the shipping records, sales records, financial statements, and other documentation from which the calculation might be verified*; OJC's use of these numbers is without evidentiary support; an earlier spreadsheet provided by [OJC's president] Mr. Weiss calculated different numbers for each calculation, which [OJC's expert] was not aware of, and OJC has not explained why the calculations changed; [OJC's expert]'s report does not address whether certain costs OJC characterized as fixed were, under applicable accounting standards, actually variable; and both OJC and [its expert] *concede average profit per container may have not included all variable costs*.

Id. at *45 (emphasis added). Chief Judge Wirth considered these contentions and ruled as follows:

[OJC's expert]'s level of review was appropriate for his use of these averages in subsequent calculations. While [OJC's expert] did not calculate these numbers, *he examined the methodology utilized by OJC, the data from OJC's accounting*

*systems, and OJC's costs in light of the company's operational structure. . . . **This was a reasonable level of review by [OJC's expert] to support their inclusion in his calculations.***

Id. (emphasis added). Hamburg further argued that OJC had refused to produce records that would allow it to challenge OJC's damages figures. *Id.* at *46. Chief Judge Wirth rejected this contention, noting that OJC had provided a dozen or more data points on each container used to create its average net profit per container figures. *Id.* at *47. Hamburg then contended that the damages support provided by OJC was similar to that considered insufficient in the *California Shipping* case, hence OJC's damages claim should be considered insufficiently supported. *See id.* (citing *California Shipping*, 1990 WL 427466, at *24). ALJ Wirth distinguished the two cases, explaining:

But the underlying data in *California Shipping* was vastly different that OJC's data. In *California Shipping*, the complainant's President was offering "*estimates of the amounts and types of cargoes **he could have generated if given access to the three contracts.***" 1990 WL 427466, at *24....By contrast, OJC's average revenue and average profit per container calculations *are based not on projections but on actuals data, **providing an inherently more fact-based and reliable foundation.*** OJC also took care to exclude non-relevant shipments...*OJC's average revenues per container and average profits per container, based on actuals data over the time period June 2020 through July 2022, is therefore found to be well supported.*

Id. at *47-48 (emphasis added). After determining that OJC's damages for the 2020-21 period amounted to \$343,387.18 (\$22,892.48 profit/container X 15 containers = \$343,387.18), *see id.* at *48, Chief Judge Wirth turned to OJC's other claims. While she refused to grant the entirety of OJC's refusal to renew contract claim (rejecting OJC's contention that its damages should be calculated on a volume of 4,700 containers for the 2021-22 period), *id.* at *49, she did allow OJC's claims based on a volume of 200 containers. *See id.* at *50-51 (reasoning in part that "[i]t is reasonably certain that OJC would have shipped at least that same 200 FFE in 2021-22, given OJC's actual performance in 2020-21, OJC's constant requests for even higher volumes throughout 2020-21, OJC's internal projection of and request for a significantly higher 2021-22 volume, and the increased demand for consumer goods that even Hamburg recognized.").

Chief Judge Wirth furthermore utilized the same profit per container used for the 2020-21 period to ultimately conclude that OJC was entitled to damages for the 2021-22 period of \$4,578,496. *See id.* at *54. Significantly, although Chief Judge Wirth did not have precise evidence as to what the contract rate would have been for the 2021-22 agreement between the parties, *see id.* at *53, this did not preclude her from awarding over \$4.5 million in damages to the complainant. Rather, she noted that “this lack of information was caused by Hamburg’s retaliation and refusal to deal” and proceeded to decide the damages issue as best as she could on the information in the record. *Id.* She supported her damages finding on the evidence in the record based on the following:

“[W]hen precise evidence measuring financial injury is unavailable because of the nature of the violation, the Commission will rely on reasonable estimations, as do the courts, so that the wrongdoer does not benefit from its misconduct.” *Adair [v. Penn-Nordic Lines, Inc., Docket No. 1695(F), 26 S.R.R. 11,] 1991 WL 383091, at *23 [(ALJ Sept. 24, 1991), admin. final Oct. 24, 1991].* The Commission has stated that “in situations where a wrongdoer has by its own action prevented the precise computation of damages, the Court has stated that the wrongdoer must bear the risk of the uncertainty and that damages can be shown by just and reasonable estimates based on relevant data.” *California Shipping, 1990 WL 427266, at *23 (citing Bigelow v. RKO Radio Pictures, 327 U.S. 251, 264-65 (1946)).*

Id. As no performance was rendered by Hamburg to OJC in the 2021-22 period, and hence no specific per container evidence existed, Chief Judge Wirth clearly could not make a decision on damages based on per-container damages evidence. Yet, she still issued a damages award.

Returning to the case at bar, as shown by the following comparisons, the facts unquestionably are far similar to those in the *OJ Commerce* decision than those in the *Rose International* decision. In *Rose International*, the complainant did not introduce a damages expert, whereas in *OJ Commerce* the complainant did. Similar to the facts in *OJ Commerce* and unlike *Rose International*, SEA has employed a damages expert, Mr. Greg Smith, to analyze SEA’s damages claims. Mr. Smith’s damages assessment excluded losses outside the time period of

SEA's claimed damages and provided a 424-page single spaced assessment of SEA's damages on a container-by-container basis. PFF ¶¶ 343-47.

In *Rose International*, the complainant did not consider its operating expenses as part of its lost profits claim, hence the only figure introduced was its gross revenue. *Rose Int'l*, 2001 WL 865708, at *17. In *OJ Commerce*, the complainant provided extensive evidence with respect to costs that were to be deducted from its gross revenue. While Chief Judge Wirth's decision acknowledged that OJC might have not identified every deduction that might have properly been deducted from its damages figure, Chief Judge Wirth found that OJC's efforts to provide an accurate damages assessment were made in good faith and provided the requisite evidence for the court to reach a considered decision on OJC's damages. *OJ Com.*, 2023 WL 3969857, at *48 (“[T]here is no indication of anything but good faith efforts from OJC to capture all of the relevant costs. For Complainant to show actual damages ‘does not require absolute precision but does require evidence sufficient to reasonably infer the actual loss sustained.’”) (citations omitted). Here, SEA has provided its damages calculations with specificity, to the point that every single charge that it claims that SEA paid that instead should have been paid by SM Line is listed on a 424-page single-spaced report that is Exhibit 1 to the Greg Smith expert report. PFF ¶¶ 343-47. The spreadsheet was produced in this proceeding and subject to further document requests and deposition testimony to whatever degree SM Line desired.⁵⁹

As part of his analysis, Mr. Smith excluded certain charges that were SEA's responsibility (*i.e.*, customs charges) as well as those which accrued more than three years before the filing of the suit. *See, e.g.*, PFF ¶ 347. Further, like the *OJ Commerce* expert, Mr. Smith first analyzed the

⁵⁹ SM Line chose not to ask about this charge-by-charge invoice and proof of payment during any fact depositions and only cursorily during Mr. Smith's testimony.

“economic impact of the harmful event” and then “the difference between [SEA]’s actual economic position and what it would have been if the harmful act had not occurred.” PFF ¶ 328.

In *Rose International*, while the complainant did introduce some documentary evidence as to its revenue on containers it handled, there were periods during the relevant period for which the complainant lacked data (and was accused by the respondent as having “just guessing at figures”). Furthermore, the complainant did not provide any testimony, witness statements or other record evidence to support its contention that it would have handled all of the container traffic that the respondents handled during the disputed period. *Rose Int’l*, 2001 WL 865708, at *68.

In contrast, the complainant in *OJ Commerce* provided expert testimony showing that the average net profit for each of OJC’s containers was \$22,892.48 by showing the average revenue per container and deducting the costs associated with those containers, using a dozen or more data points on each container used to create its average net profit per container figures. While the respondent in *OJ Commerce* argued (amongst other things) that OJC had failed to provide shipping records, sales records, financial statements, or other documentation that could be used to validate OJC’s damages figures, Chief Judge Wirth found that OJC’s expert’s examination of “the methodology utilized by OJC, the data from OJC’s accounting systems, and OJC’s costs in light of the company’s operational structure **was a reasonable level of review by [OJC’s expert] to support their inclusion in his calculations.**” *Id.* (emphasis added).

Here, similar to OJC’s expert, SEA’s expert Mr. Smith (1) reviewed the nature of SEA’s document database which held the underlying documentation in support of SEA’s claims, (2) queried SEA employees multiple times as to their use of SEA’s records and their assembly of SEA’s damages data; (3) conducted numerous spot checks on the SEA damages claims with respect to individual containers to confirm that the damages claimed were supported by the actual

SEA data; (4) concluded that “the charge data produced by SEA provides a sound basis from which to compute direct damages in this matter,” PFF ¶ 346; and then (5) performed his calculations with respect to SEA’s damages claims (the end result of which was Exhibit 1 to Mr. Smith’s expert report). Mr. Smith’s actions are even more thorough than that found acceptable last year by Chief Judge Wirth of the complainant’s expert in *OJ Commerce*.

In *Rose International*, the complainant’s president “testified that he just picked the growth rates for 1995, 1996, and 1997 arbitrarily because he believed he could not claim a 200% growth rate for all four years and have it be believable.” *Rose Int’l*, 2001 WL 865708, at *17; *see also California Shipping*, 1990 WL 427466, at *24 (rejecting complainant’s damages claims where its damages were based on complainant’s president’s “estimates of the amounts and types of cargoes **he could have generated** if given access to the three contracts.”) (emphasis added). The Commission rejected Rose’s lost business growth claim, observing that Rose’s president himself agreed that his prognostications of future business growth were “essentially ‘made up.’” *Rose Int’l*, 2001 WL 865708, at *80. In contrast, while the complainant in *OJ Commerce* asserted a damages claim related to a time segment in which the parties conducted no business, *OJ Commerce*, 2023 WL 3969857, at *53, and while Chief Judge Wirth did not have precise evidence as to what the contract rate would have been for the 2021-22 agreement between the parties, *see id.*, this did not preclude her from awarding over \$4.5 million in damages to the complainant. *Id.* at *54.

Rather, Chief Judge Wirth noted that “this lack of information was caused by Hamburg’s retaliation and refusal to deal” and proceeded to decide the damages issue as best as she could on the information in the record. *Id.* at *53. Here, as a damages expert, Mr. Smith assumed that SEA had proven SM Line’s liability (a premise agreed with by SM Line’s damages expert, Mr. Mark Gauthier). *See* ¶ PFF 327; *see also* CX_003793-94, Gauthier Dep. Tr. 124:18-125:6. Indeed, at his

deposition, SM Line's damages expert agreed that an ocean carrier was typically responsible for inland transportation costs in a store door delivery arrangement:

[MR. YOON]: *Under store door terms, who is responsible once [a] container gets to the container yard and in order to get that container all the way to the ultimate final inland destination, who is responsible for that transportation and associated charges?*

MS. MURPHY: Objection.

[MR. GAUTHIER]: Well, generally speaking, *that would be whoever's contracted to provide that service.*

BY MR YOON:

Q. And, generally speaking, as you answered, who would that party be?

[MS. MURPHY]: Objection.

THE WITNESS: *In the context of this litigation, presumably, SM Line for the transactions the we're referencing, I believe.*

CX_003763-64, Gauthier Dep. Tr. 94:19-95:10 (emphasis added). As addressed in SEA's Opening Brief, 58-61, Mr. Smith used this mutually agreed process to calculate SEA's direct damages as the charges incurred by SEA during the relevant time covered by the SEA complaint and amassed them into his Exhibit 1, which accumulated charges total \$14,534,787.00. CX_004464, Smith Report, n. 67; CX_005435, Smith Report, Ex. 1.⁶⁰ These charges were not prognostications, estimates, or otherwise based on conjecture. Rather, they all were documented by SEA and are supported by evidence in the record. Hence, should liability for these charges be established as SEA submits it should, the quantum of the damages sustained has been amply supported, at least as well as the complainant's damages claims in *OJ Commerce*.

Similarly, with respect to SEA's Additional Costs and Lost Revenue – addressed at pages 61 to 63 of SEA's Opening Brief – Mr. Smith explained the basis for these damages. SEA's Additional Costs were calculated as \$2,507,813 and related to (1) additional personnel hired by

⁶⁰ As explained at footnote 25 of SEA's Opening Brief, while Exhibit 1 of the Smith report calculated total accumulated charges of \$14,623,541.61, certain of those charges were excluded from Mr. Smith's damages calculation as they accrued earlier than the governing three-year statute of limitations, leaving SEA's claimed direct damages as \$14,534,787.00.

SEA to address the surge in land transportation charges, and (2) the leasing of container storage yards inland from port terminals so that daily storage charges for containers waiting to be delivered would be reduced. PFF ¶ 365. As explained by Mr. Smith, these charges were limited to 4.5% of SEA's actual additional expenses during this time period as SM Line's portion of SEA's cargo was 4.5%. Such a proration – using defined costs and specific data to reach damages figure – is similar to how Chief Judge Wirth reached a damages decision with respect to OJC's damages in *OJ Commerce* for the year in which no services were provided by the respondents. *OJ Com.*, 2023 WL 3969857, at *53-54. Finally, SEA's lost revenue claim (\$41,884) – a claim with the most limited evidentiary support – is one Mr. Smith treats the most conservatively. As he explains, he reduced by 90% the figure of \$418,840 that is estimated as SEA's revenues lost from customer sales as a result of late container deliveries, leaving a modest lost revenue claim of \$41,884. PFF ¶¶ 368-70.

Seeking to show the unreasonableness of SEA's inclusion of the entirety of its D&D charges (and similar associated costs) in its claims against SM Line, counsel for SM Line inquired at Mr. Smith's deposition as to how he could be sure that all of the included charges could be for SM Line's account. Mr. Smith explained:

[MR. DEORCHIS]: As an expert on damages and with your background in economy, economics, don't you think it is statistically impossible for SEA not to have any demurrage or detention charges over a period of 2019 to 2022?

MR. NOLAN: Objection to form. Foundation. You can answer.

[MR. SMITH]: So I don't know that that is statistically impossible. ***I understand in 2023, SEA had no demurrage charges whatsoever. And the data that I reviewed showed that demurrage -- it was \$756 in 2019. So I would say that's not necessarily impossible.***

CX_004202, Smith Dep Tr. 80:5-19 (emphasis added). SM Line's counsel persisted by seeking a concession from Mr. Smith that at least some delay charges might have been for SEA's account:

[MR. DEORCHIS]: You read the [deposition] transcript of [SEA's] Mr. Rapske, right?

[MR. SMITH]: Yes, I did.

Q. At page [61, line 17], he says that customers like Lowe's and Costco did have some congestion at their terminals. Did you take that into account?

* * *

A. Yes, I – in preparing my report, I did read Mr. Rapske's transcript, and I am aware that he acknowledged that sometimes there might be a problem at a customer site or at a Samsung site. ***I believe he indicated that it would be pretty rare, but I was aware of that.***⁶¹

The calculations I did are based on the liability claim as I understand it here, ***which is that the wholesale practice of forcing Samsung to pay all of these charges without providing a justification is what's at issue here.*** So my numbers include all the charges, but I was aware of that.

CX_004237; CX_004240-41, Smith Dep. Tr. 115:8-15; 118:16-119:6 (emphasis added).

Referring back to SEA's Opening Brief, at pages 33 to 35, SEA addresses the SM Line D&D Responsibility Report. As explained in detail in SEA's Opening Brief, SM Line itself identified ***only 0.12%*** of charges that it categorized as "Warehouse Issue" or "Samsung Operation Issue" ***for a total amount of \$7,515.*** PFF ¶ 270. This data – assembled by SM Line independently – is consistent with the testimony of SEA fact witness Mr. Rapske's and expert witness Mr. Smith that SEA faced congestion issue quite infrequently.

In essence, SM Line does not challenge ***any*** of the damages data provided by SEA in support of its claims. Nor does it offer any rebuttal to the contrast between damages experts set forth at pages 51-80 of SEA's Opening Brief. Rather, it argues that SEA did not provide particularized testimony or other evidence proving that SEA was entitled to recover damages for each of the 18,000+ SEA charges at issue. SM Line makes this argument despite the default position for store door – one agreed by both damages experts – is that the ocean carrier is responsible for such charges. As explained above, SM Line's argument cannot be squared with FMC precedent. Indeed, when comparing Chief Judge Wirth's questionably-related *Hapag*

⁶¹ In response to the question about Lowe's and Best Buy having overflow problems, Mr. Rapske testified at his deposition that "on and off, some of their locations did have congestion, yes." CX_002673, Rapske Dep. Tr. 61:22-23.

Possible Violations decision from April 2022 (which SM Line claims precludes SEA’s damages claims) to her much more pertinent *OJ Commerce* decision from June 2023, it is clear that SEA has met its burden of proving its damages.

In sum, the determination of Shipping Act liability for SEA’s claims does not turn on the facts of individual shipments, because the violations applied to scopes of similarly situated shipments, and there is no dispute as to the measure of the charges and losses. If, however, the Presiding Officer were to decide that a “shipment by shipment” analysis should be undertaken, while costly and burdensome, it is certainly possible. For example, pursuant to FMC Rule 251, the Presiding Officer can rule on SM Line’s Shipping Act violations, and later determine the damages on a shipment-by-shipment basis.⁶² If SM Line insists on a shipment-by-shipment review of the quantum of \$14.5 million in damages after the Presiding Officer has found liability, and it is ready to pay the attorney fees and costs with the undertaking, that option is available under the FMC’s Rules. But SM Line’s attempt to avoid damages altogether based on the argument that a shipment-by-shipment analysis is essential is not a defense to SM Line’s liability.

VI. CONCLUSION

SM Line’s Brief opposition merited a robust reply response in order to support the Presiding Officer’s ultimate findings. SM Line too often threw out arguments and references to vague authority without proper explanation as to its relevance or providing an evidentiary basis

⁶² 46 C.F.R. § 502.25. If many shipments or points of origin or destination are involved in a proceeding in which reparation is sought (See § 502.63), the Commission will determine in its decision the issues as to violations, injury to complainant, and right to reparation. ***If complainant is found entitled to reparation, the parties thereafter will be given an opportunity to agree or make proof respecting the shipments and pecuniary amount of reparation due before the order of the Commission awarding reparation is entered. In such cases, freight bills and other exhibits bearing on the details of all shipments, and the amount of reparation on each, need not be produced at the original hearing unless called for or needed to develop other pertinent facts.*** [Rule 251.] (emphasis added).

for it to be properly relied upon by the Presiding Officer. And in many cases, SM Line simply ignored the Presiding Judge's Scheduling Order's mandate that "[e]ach proposed finding of fact that the responding party denies must be followed by an exact citation to evidence that the responding party contends will rebut the evidence the proposing party claims supports the fact" by offering nothing in response.⁶³ SEA has not only rebutted all of the arguments and evidence of note but reaffirmed the import of its evidence to establish its burden of proof. Moreover, SEA did so despite being prejudiced by SM Line's failure to preserve key, relevant information at SM Line's Korea HQ.

As a result of SM Line's unreasonable practices and procedures, SEA has suffered actual injury directly related to SM Line's violations of the Shipping Act and OSRA. With liability established, the FMC should order **those reparations** be awarded to SEA. SEA has methodically and thoroughly established that it has suffered damages in the principal amount of \$14,534,787.00 (*supra* fn. 25 of SEA's Initial Brief), in direct damages and over \$2.6 million in additional damages incurred due to SM Line's violations.

SEA is also mindful it took considerable time and energy to establish a proper record to support over 18,000 charges – and that this proceeding has required a number of requests at inopportune hours of the day and night on the Presiding Officer when the parties disagreed fundamentally as to certain responsibilities and obligations. Moreover, SEA is mindful its reparations damages requests are substantial. But it is not a theoretical loss; SEA paid \$14.5 million in monies it is simply fighting to claw back now that SM Line *does not* have the hammer of threatening to withhold its cargo during the peak demand in a pandemic.

⁶³ Dkt. No. 10, ¶ 17.

PUBLIC VERSION

SEA respectfully submits that the Presiding Officer should award reparations to SEA for those damages, **prejudgment** interest, and such other and further relief as is deemed just and proper. SEA further seeks and is entitled to its attorneys' fees and costs in this proceeding in due course. 46 U.S.C. § 41305

Respectfully Submitted,

Dated: June 17, 2024

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